



एन एम डी सी स्टील लिमिटेड
NMDC Steel Limited
(भारत सरकार का उद्यम) (A GOVT. OF INDIA ENTERPRISE)

Email csn@nmdc.co.in; prabhakartripathi@nmdc.co.in; nslcontracts@nmdc.co.in

Subject: **"SAP Application System Audit at NMDC Steel Limited."**

Dear Sir/Madam,

We are enclosing one set of Tender Documents for the above subject work. You are requested to submit your offer in **GEM PORTAL**.

The last date for submission of offer is on or before, 30.05.2026 & time as per GeM. Tender will be opened on the same day (i.e.30.05.2026) & time as per GeM.

The bidders are requested to submit their bids online through GeM Portal only. The details of submission of bid through online are given in NIT. The Bidders on regular basis are required to visit the NMDC's website/CPP Portal/ GeM website for corrigendum, if any, at a future date.

For further information, & clarification, the following can be contacted:

HOD (Contracts), Contracts Department, 3th Floor, NSL Cooperate office, NMDC Steel Limited (NSL), P.O. Nagarnar, Jagdalpur, Dist.: Bastar, Chhatisgarh-494001

Email: nslcontracts@nmdc.co.in, csn@nmdc.co.in,
prabhakartripathi@nmdc.co.in

Thanking you,

Yours faithfully,

HOD (Contracts)
NSL, Nagarnar.

SAP Application System Audit at NMDC Steel Limited.

CONTENTS OF TENDER DOCUMENT

Serial no.	Description
1	Check list
2	Notice Inviting Tender (NIT)
3	Instructions to Tenderers (ITT) Along with Annexures
4	Special Conditions of Contract
5	Letter Award Of Contract (LAC/PO)
6	Price Schedule
7	Payment terms
8	Scope of work
9	General Conditions of Contract (GCC)

SAP Application System Audit at NMDC Steel Limited.

CHECK LIST

Tenderer shall ensure that all the documents given below are submitted with the offer

SL NO	Submission of Documents	Submit Yes/No
1	Letter of undertaking (Annexure-1 of ITT)	
2	Earnest Money Deposit	
3	Integrity pact.	
4	Information about the Tenderer as per Annexure -4 of ITT	
5	Bank Account details in order to facilitate payments through e-payment mode Annexure-13	
6	Power of Attorney	
7	Copy of Goods & Service Tax registration certificate (GSTIN)Form GST REG-06	
8	All pages of the Tender documents to be signed & sealed by the Tenderer.	

Note — ~~Failure to upload the Integrity Pact along with offer/bid, duly signed by bidder, the offer shall be rejected.~~

SAP Application System Audit at NMDC Steel Limited.

1 NOTICE INVITING TENDER (NIT)

- 1.0 NMDC Steel Limited (NSL) is a public sector company under the Ministry of Steel, Government of India. NSL has set-up 3.0 MTPA Integrated Steel Plant for production of steel through BF-BOF route at Nagarnar near Jagdalpur, Chhattisgarh state. The Steel Plant is commissioned and producing Hot Rolled Coils, HR Sheets and Plates.
- 2.0 NMDC Steel Limited, hereinafter referred to as "**Owner / Employer**", invites sealed bids from eligible successful bidder for the work of "**SAP Application System Audit at NMDC Steel Limited.**"
- 3.0 Bidders, in their own interest may visit the plant site and get themselves acquainted with the facilities available at site before submitting the bid. By submitting the bid, it shall be deemed that the bidder is fully familiar with all the works connected with "**SAP Application System Audit at NMDC Steel Limited.**" as well as matters pertaining to rules and regulations stipulated by the Central / State Government Authorities and Local authorities etc.
- 4.0 Bidders (Tenderers) may obtain further information from the office of NMDC Steel Limited (NSL) at the following address;

HOD (Contracts)
NMDC Steel Limited (NSL),
Contract Department,
NSL Corporate Office,
Block- B, 3rd floor, Room No -308
P.O. Nagarnar Dist. Bastar,
Chhattisgarh - 494001
Email: csn@nmdc.co.in / prabhakartripathi@nmdc.co.in

- 5.0 It shall be the responsibility of the successful bidder to ensure that the Bids have been submitted in the formats and as per the terms and conditions prescribed in the bidding document. Tender document along with this detailed Notice Inviting Tender (NIT) forms the complete bidding document. On verification, at any time, whether the Bidder is successful or not, if any of the documents submitted by the Bidder are found tampered/ altered / incomplete, they are liable for rejection, cancellation & termination of the Contract, debarring, **banning** etc. as per the rules

SAP Application System Audit at NMDC Steel Limited.

of the Company. In case of any discrepancies between Tender documents issued by NSL and the master copy available with NSL, the master copy shall be considered authentic and shall be binding on the Bidder. No claim on this account from the Bidders will be entertained. On submission of bid, it will be presumed that the Bidder have gone through the entire bidding document including Corrigendum's / Amendments / clarifications (if any) which shall be binding on them.

6.0 Salient features of the bid:

(i).	Tender No.	T. E NO.: NSL/CONTRACTS/SAP/8819/2026/978 Dated: 23.05.2026
(ii).	Name of the work	SAP Application System Audit at NMDC Steel Limited
(iii).	Scope of work and other terms and conditions	As mentioned in the special conditions of the contract.
(iv).	Pre-Qualification Criteria	Not applicable
(v).	Integrity pact	Applicable (Refer clause no.24 of ITT) Failure to upload the duly signed and stamped Integrity Pact by the bidder, the bid shall be summarily rejected.
(vi).	Bids With Consortium / JV / Associates	Not applicable
(vii).	Submission of Tender document	• Start date & Time: 23.05.2026 and time as per GEM • Close date & Time: 30.05.2026 and Time as per GEM
(viii).	Submission of Tender / bid	Close date & Time: 30.05.2026 and time as per GeM.
(ix).	Manner of Preparation of Tender	Refer Clause No.6 of ITT
(x).	Manner of Submission of Tender	Refer Clause No. 7 of ITT

SAP Application System Audit at NMDC Steel Limited.

(xi).	Pre-Bid Clarification	Bidders seeking clarifications on the Bid document / Tender document shall write to nslcontracts@nmdc.co.in , prabhakartripathi@nmdc.co.in or csn@nmdc.co.in before 3 days of submission of bid.
(xii).	Opening of Bids	Bids shall be opened on 30.05.2026 and time as per GeM. (refer clause no. 7 of ITT)
(xiii).	Evaluation of Offer	Refer Instruction to tenderers (ITT)
(xiv).	Effective date of contract	Submit the report within 2 (Two) months from the award of the contract.
(xv).	Time of completion	2 months from the date of PO
(xvi).	Validity of Bid	60 days from the due date of submission of Bid

7.0 Void

8.0 If the date and time for any activity indicated in the tender document happens to be a holiday or a non-working day, for any reason, then the next working day and time will be automatically taken as the date and time for such activity. Each Tenderer shall submit only one bid in compliance with the requirements of the bidding documents. Alternatives will not be considered. Submission of more than one bid will cause all the proposals with the Tenderer's participation to be disqualified.

9.0 The Employer reserves the right to accept or reject any bid or to annul the Bidding process and reject all bids at any time prior to award of the Contract without assigning any reason whatsoever and without thereby incurring any liability whatsoever to the affected Tenderer(s). Mere submission of tender document shall not mean fulfilment of requirements of eligibility of the Tenderer(s).

~~10.0 Following benefits will be extended to Micro and Small Enterprises units (MSE) as per guidelines for Public Procurement Policy for MSEs Order, 2012 for goods or services registered with NSIC/DIC/UAM;~~

- ~~(i) Exemption from payment of Earnest Money Deposit (EMD)~~
- ~~(ii) MSEs quoting price within price band L-1 + 15%, where L-1 is someone other than MSE, shall be considered for awarding subject to lowering of price by MSEs to L-1 price.~~

SAP Application System Audit at NMDC Steel Limited.

Note: In case of an upward change in terms of investment in plant and machinery or equipment or turnover or both, and consequent re-classification, an enterprise shall continue to avail of all nontax benefits of the category (micro or small or medium) it was in before the re-classification, for a period of three years from the date of such upward change.

As per the Public Procurement Policy, Govt. of India, in case of any Micro/Small Enterprise (MSE) bids, the price preference / distribution shall be as per Govt. guidelines stipulated for MSEs.

11.0 Purchase Preference as per declared Local Content is applicable as per Public Procurement (Preference to Make in India, Order 2017 dated 16.09.2020, (Refer Annexure 14 to ITT). Bidder to indicate Percentage of Local supply items / services offered as per Annexure 15 to ITT.

Note: The evaluation of offers among MSE firms, Class-I Local supplier, Class-II Local supplier & Non-local supplier will be as under;

Definitions;

MSE— Micro and Small Enterprise

C1— 'Class-I Local Supplier'

C2— Class-II Local Supplier'

NL— 'Non-Local Supplier'

L1— First Lowest bid

L2— Second Lowest bid

(a) Price matching by L2MSE (Provided L1 is not MSE firm)

L2 MSE firm, subject to L2 MSE firm price is within the price band of L1+15% and matches L1 firm price. If L2 MSE firm does not match the L1 price, then next higher MSE firm within the price band of L1+15% shall be invited to match the L1 price and so on. In case no MSE firm matches then the quantity shall be ordered on L1 firm.

(b) Price matching by L2 MSE-C1 firm (Provided L1 is not MSE firm and also not MSE C1 firm)

L2 MSE C1 firm subject to L2 MSE C1 Firm price is within the price band of L1+20% and matches L1 firm price. If L2MSE C1 firm does not match the L1 price, then next higher MSE C1 firm within the price band of L1+20% shall be invited to match the L1

SAP Application System Audit at NMDC Steel Limited.

~~price and so on. In case no MSE and C1 firm matches then the quantity shall be ordered on L1 firm.~~

~~(c) Price matching by L2 C1 Firm (Provided L1 is not C1 firm)~~

~~L2 C1 firm subject to L2 C1 firm price is within the price band of L1+20% and matches L1 firm price. If L2 C1 firm does not match the L1 price, then the next higher C1 firm within the price band of L1+20% shall be invited to match the L1 price and so on. In case, no C1 firm matches then the quantity shall be ordered on L1 firm.~~

~~(d) Other scenarios for award of work (on matching price of L1);~~

- ~~(1) L1 MSE & C1: L2 C1 ————— will be awarded to L1 MSE & C1 firm~~
- ~~(2) L1 MSE & C2: L2 C1 ————— will be awarded to L1 MSE & C2 firm~~
- ~~(3) L1 MSE & C1: L2 C2 ————— will be awarded to L1 MSE & C1 firm~~
- ~~(4) L1 MSE & C2: L2 C2 ————— will be awarded to L1 MSE & C2 firm~~
- ~~(5) L1 MSE & C1: L2MSE & C1 — will be awarded to L1 MSE & C1 firm~~
- ~~(6) L1 C1: L2 MSE & C1 ————— will be awarded to L2 MSE & C1 firm~~
- ~~(7) L1 C1: L2 MSE & C1 & L3 C1 — will be awarded to L2 MSE & C1 firm~~
- ~~(8) L1 C2: L2 MSE & C1 ————— will be awarded to L2 MSE & C1 firm~~
- ~~(9) L1 C2: L2 MSE & C2 ————— will be awarded to L2 MSE & C2 firm~~
- ~~(10) L1 C2: L2 C1 ————— will be awarded to L2 C1 firm~~
- ~~(11) L1 C2: L2 MSE & C1 & L3 C1 — will be awarded to L2 MSE & C1 firm~~
- ~~(12) L1 C2: L2 MSE & C2 & L3 C1 — will be awarded to L2 MSE & C2 firm~~

~~Any other combination will be as per prevailing GOI guidelines.~~

~~As per the Public Procurement Policy, Govt. of India, in case of any Micro/Small Enterprise (MSE) bids, the price preference / distribution shall be as per Govt. guidelines stipulated for MSEs.~~

12.0 The Tender Documents are non-transferable and shall be used by the tenderer who have been issued the tender document by the Employer.

13.0 There will be no post Tender Price Negotiation except with L-1 (i.e., the lowest evaluated responsive Bid), if required

14.0 Policy on Banning of Business Dealings with Agencies, which covers both suspension and banning of business dealings with the Agency that commits fraud

SAP Application System Audit at NMDC Steel Limited.

and/or transgression in the dealings with NSL. The Policy is on the NMDC website, www.nmdc.co.in

The Grounds for Banning of Business Dealings and the Banning Period as per the Policy given at **Annexure – 9 to ITT**.

15.0 Void

2. INSTRUCTIONS TO TENDERERS (ITT)

TABLE OF CONTENTS

Clause No.	Description of the clause
1	Cost of Bidding
2	Bidding Documents
3	Clarification of Bidding Documents
4	Amendment of Bidding Documents
5	Language of Bid
6	Manner of Preparation of Bid
7	Manner of submission of Bid
8	Bid Security
9	Period of validity of Bid.
10	Deadline for submission of bids
11	Late bids
12	Modification and withdrawal of Bids
13	Preliminary Examination of Bids
14	Technical and Commercial Evaluation of Bids
15	Qualification
16	Clarification of Bids and review of tenderers proposed deviations
17	Invitation to submit updated bid
18	Price bid opening
19	Evaluation of Price bids
20	Award Criteria
21	Employers Right to accept any Bid and Reject Any or all Bids
22	Signing of Contract Agreement
23	Performance Bank Guarantee

SAP Application System Audit at NMDC Steel Limited.

24	Integrity Pact
25	General

Pro-form Annexures as enclosed:

S. No.	Annexure no.	Details
1	Annexure-1	Letter of undertaking.
2	Annexure-2	Bank Guarantee towards Bid Security / EMD
3	Annexure-3	Form of Integrity Pact
4	Annexure-4	Information about the Tenderer
6	Annexure-6	Deviations to tender clauses
7	Annexure-7	Pro-forma for Performance Bank Guarantee
8	Annexure-8	Form of extension of BG
9	Annexure-9	NSL Policy on Banning of Business Dealings with Agencies
10	Annexure-10	Letter of Undertaking Towards PF code
12	Annexure-12	Restrictions under Rule 144 (XI) of the GFRS, 2017
13	Annexure-13	Certificate regarding compliance - restrictions under Rule 144(XI) of GFR, 2017
14	Annexure-14	Public Procurement (Preference to Make in India), order 2017 – revision
15	Annexure-15	Declaration of Local content.

SAP Application System Audit at NMDC Steel Limited.

1. Cost of Bidding

The Tenderer shall bear all costs associated with the preparation and submission of its bid, and the Employer (NSL) will in no case be responsible or liable for these costs, regardless of the conduct or outcome of the bidding process.

2. Bidding (Tender) Documents

2.1 The Facilities required, bidding procedures, Contract terms and technical requirements are prescribed in the Bidding Documents. The Bidding Documents include the following sections:

Volume – I:

- (i) Notice Inviting Tender (NIT)
- (ii) Instructions to Tenderers (ITT) with Annexures

S.No.	Annexure no.	Details
1	Annexure-1	Letter of undertaking.
2	Annexure-2	Bank Guarantee towards Bid Security / EMD
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14	Annexure-14	Public Procurement (Preference to Make in India), order 2017 – revision
15	Annexure-15	Declaration of Local content.

- (iii) Letter Award Of Contract (LAC/PO)
 - Appendix – 1 Preamble of Price Schedule
 - Annexure to Appendix – 1 Price Schedule
 - Appendix – 2 Terms of Payment
 - Appendix – 3 Scope of Work

- (iv) General Conditions of Contract (GCC)
- (v) Safety code for Service Providers and General Terms & Conditions

3. Clarification of Bidding Documents

- 3.1 The Tenderer (also called as 'Bidder') is required to carefully examine the Bidding Documents, terms & conditions and other details relating to work given in the Bidding Documents and fully acquaint himself as to all conditions and matters which may in any way affect the work or the cost thereof. Tenderer is deemed to have known the scope, nature and magnitude of the work and the requirements of materials, labour involved, site conditions etc. Failure to furnish all information required by the Bidding Documents or submission of a bid not substantially responsive to the Bidding Documents in every respect will be at the Tenderer's risk and may result in rejection of such bids.
- 3.2 A Tenderer requiring any clarification on the Bidding Documents may notify NMDC Steel Limited in writing or e-mail at the mailing address indicated in the Notice Inviting Tender (NIT). The owner will respond in writing to any request for clarification or modification of the Bidding Documents that it receives no later than seven (7) days prior to the deadline for submission of bids prescribed by the Employer. Written copies of the owner response will be mailed for information to the bidders.
- 3.3 The Tenderer shall be deemed to have visited and examined the site where the work are to be carried out and its surroundings and obtained for itself on its own responsibility all information, the nature & details of existing structures, if any, and also as to the nature & conditions of Railways, roads, bridges & culverts, means of transport & communications, whether by land, water or air and as to possible interruptions thereto and access and egress from the site, to have made independent enquiries, examined storm data, prevailing winds, climatic conditions and all other similar matters which may affect the work, that may be necessary for preparing the bid and entering into a Contract for Transportation Work. The costs of visiting the site shall be at the Tenderer's own expense.
- 3.4 The Tenderer and any of its personnel or representative will be granted permission by the Employer to enter upon its premises and lands for the purpose of such

SAP Application System Audit at NMDC Steel Limited.

inspection, but only upon the express condition that the Tenderer, its personnel and representative will release and indemnify the Employer and its representatives from and against all liability in respect thereof and will be responsible for death or personal injury, loss of or damage to property and any other loss, damage, costs and expenses incurred as a result of the inspection.

- 3.5 The Tenderer shall be deemed to have acquainted itself of Government taxes, duties, laws, statute, regulations, levies and other charges relating to services to be rendered.
- 3.6 Any neglect or omission or failure on the part of the Tenderer in obtaining necessary and reliable information as stated above or on any other matter affecting the Tenderer, **will** not relieve the Tenderer from any risk or liability or the entire responsibility for completion of the work in accordance with the Bidding Documents.

Any clarification issued prior to submission of Bids **will** be put on the Employer's web site. Tenderers shall submit their bids accordingly.

4. Amendment of Bidding Documents

- 4.1 At any time, prior to the deadline for submission of bids, the Employer may, for any reason, whether at its own initiative, or in response to a clarification requested by a prospective Tenderer, amend the Bidding Documents.
- 4.2 The amendment will be to bidders and will be binding on them. Tenderers are required to immediately acknowledge receipt of any such amendment, failing which it will be assumed that the information contained therein will have been taken into account by the Tenderer in their bid.
- 4.3 In order to afford prospective Tenderers reasonable time to take the amendment into account in preparing their bid, the Employer may, at its discretion, extend the deadline for the submission of bids in which case, the Employer will have extended deadline and will be posted in websites.

5. Language of Bid

SAP Application System Audit at NMDC Steel Limited.

The bid prepared by the Tenderer and all correspondence & documents related to the bid exchanged by the Tenderer and the Employer, shall be written in the English language. Bid submitted in any other language is liable to be rejected

In case any printed literature/ any documents furnished by the Tenderer, is written in another language, it must be accompanied by a translation of its pertinent passages in the English language, duly authenticated/ certified by a notary/ local chamber of commerce/ any legal authority of the Tenderer's country/ authorized representative of Indian Embassy/ consulate in Tenderer's country and for the purposes of interpretation of the bid, such translation shall govern. However, the Bidder shall be responsible for the accuracy and completeness of such translation provided by him.

6. Manner of Preparation of Bid

The following documents shall comprise the offer of the Bidder and shall be **uploaded in GEM - Portal.**

Shall consists following documents;

- 6.1 Letter of Undertaking: This shall be submitted in the prescribed pro-forma as per Annexure –1 to ITT.
- 6.2 Integrity Pact (refer clause No.24 of ITT) shall be submitted duly signed. The pro-forma of Integrity pact is given at Annexure-3 to ITT. **Failure to upload the duly signed and stamped Integrity pact by the bidder, the bid shall be summarily rejected.**
- 6.3 Full information about the Tenderer: This shall be furnished in the prescribed pro-forma as per Annexure – 4 to the ITT, including details regarding financial soundness of the Tenderer etc.
- 6.4 A power of attorney, duly authenticated by a Notary Public, indicating that the person (s) signing the bid have the authority to sign the bid and thus that the bid is binding upon the Tenderer during the full period of its validity.
- 6.5 Copy of Permanent Account Number (PAN) issued by IT department

SAP Application System Audit at NMDC Steel Limited.

- 6.6 Bidder should submit a copy of valid PF code number duly allotted by any RPFC. In case the bidder does not possess valid PF code number, then the bidder has to give an undertaking (as per pro-forma given as Annexure – 10 to ITT) on a non-judicial stamp paper of value not less than Rs.100/- stating that within one month from the date of issue of Letter of Intent / Letter of award of contract, he shall obtain PF code number.
- 6.7 Bidder to submit Copy of GST registration certificate.
- 6.8 Bidder to submit copy of cancelled cheque / bank account details in order to facilitate payments through e-payment mode.
- 6.9 Statements of Exceptions and Deviations taken from the tender conditions: This shall be furnished in the prescribed pro-forma as per Annexure – 6 to the ITT, indicating therein the exception and deviations taken from the tender conditions by the Tenderer, but without indicating the rates and cost thereof.
- 6.10 Bidder to indicate Percentage of Local supply items / services offered as per Annexure – 15 to ITT in line with Preference to Make in India, Order 2017 dated 04.06.2020.
- 6.11 Rule 144 (xi) of the General Financial Rules (GFRS), 2017. For details refer Annexure – 12 to NIT Bidder to submit Self-certification regarding, compliance as per Rule 144 (xi) of the General Financial Rules (GFRS), 2017 as per Annexure-13 of ITT. Bidder to upload valid registration by the Competent Authority, if any.
- 6.12 Any other information the Tenderer desires to furnish in connection with this tender.
- 6.13 Bidder to quote price on GeM portal and upload the price break-up as price schedule given in Annexure to Appendix -1.

7.0 Manner of Submission of Tender

- 7.1 **All the documents as mentioned at clause no.6 of ITT shall be prepared by typing or printing with indelible black ink on white paper in sequentially numbered pages and shall be uploaded in GEM Portal**

9. Period of Validity of Bid

Bids shall remain valid for 60 days from the due date of opening of Bid and accordingly Tenderer shall submit Letter of undertaking as per Annexure – 1 to ITT. A bid valid for a shorter period shall be rejected by the Employer as being non-responsive.

If required, the Employer may request the Tenderer to extend the bid validity period. The request and responses thereto shall be made in writing. If a tenderer accepts to extend the period of validity of bid. The tenderer accepting such request shall not modify their bid on their own.

10. Deadline for Submission of Bids

10.1 Bids must be received as specified in NIT and no later than the time and date (deadline) stated in the NIT.

10.2 The Employer may, at its discretion, extend this deadline for submission of bids by amending the bidding documents in accordance with ITT, in which case all rights and obligations of Employer and Tenderers will thereafter be subject to such extended deadline.

11. Late Bids

Submission of bids after the deadline prescribed by the Employer in the NIT, will not be accepted and their bid shall be returned unopened.

12. Modification and Withdrawal of Bids

12.1 The Tenderer may modify or withdraw its bid before due date & time of submission of bid as per guidelines of GeM.

12.2 No bid shall be withdrawn in the interval between the bid submission deadline and the expiration of the bid validity period. Withdrawal of a bid during this interval will result in the forfeiture of bid security.

12.3 Bids together with any modification specified under the clause shall be considered as 'the' bid of the Bidder at the time of opening of the bid.

13. Preliminary Examination of Bids

SAP Application System Audit at NMDC Steel Limited.

- 13.1 The Employer will examine the bids to determine whether they are complete, whether the documents have been properly signed and whether the bids are generally in order. Any bids found to be non-responsive for any reason or not meeting the minimum levels of the performance or other criteria specified in the Bidding Documents will be rejected by the Employer and not included for further consideration.
- 13.2 Prior to the detailed evaluation, the Employer will determine whether each bid is of acceptable quality, is complete and is substantially responsive to the bidding documents. For purpose of this determination, a substantially responsive bid is one that conforms to all the terms, conditions and specifications of the bidding documents without deviations, objections, conditionality or reservations.
- 13.3 In particular, bids with deviations from, objections to or reservations about any one or more of following critical provisions that the Tenderer is not prepared to withdraw may be rejected by the Employer as being non-responsive;
- (i). Bid Security
 - (ii). Settlement of Disputes
 - (iii). Performance Bank Guarantee
 - (iv). Taxes and Duties
 - (v). Limitation of Liability
 - (vi). Loss of or Damage to Property; Accident or Injury to Workers; Indemnification
 - (vii). Negligence
 - (viii). Force Majeure
 - (ix). Termination

14. Technical & Commercial Evaluation of Bid

The Employer will carry out a detailed evaluation of the bids previously determined during preliminary examination of bids, to be substantially responsive, in order to determine whether the technical & commercial aspects are in accordance with the requirements set forth in the Bidding Documents. In order to reach such a determination, the Employer will examine and compare the technical and commercial aspects of the bids on the basis of the information supplied by the Tenderers and other requirements in the Bidding Documents, taking into account the following factors:

- (a). Overall completeness and compliance with the scope of work and meeting the prescribed eligibility criteria.
- (b). Acceptance of specified criteria
- (c). Any other relevant technical factors, if any, or that the Employer deems necessary or prudent to take into consideration.
- (d). Overall completeness and compliance with the commercial bid and any deviations to the commercial and Contractual provisions stipulated in the Bidding Documents.

15. VOID

16. Clarification of Bids and Review of Tenderers' Proposed Deviations & Alternative Solutions.

16.1 NSL may conduct clarification meetings with each or any Tenderer to clarify any aspects of its bid that require explanation at this stage of the evaluation. During these meetings, the Employer may bring to the attention of the Tenderer any matters, technical or otherwise, where for whatever reason, it requires clarification / details about the bid, to be provided to the bid. All such amendments or changes required by the Employer will be listed in the Record Notes of discussions documenting the clarification meeting entitled "Changes Required Pursuant to Evaluation of the Employer" and will be formally notified to the Tenderer as part of the invitation to submit the Updated Bid.

16.2 The Employer will advise the Tenderer of any exceptions or deviations in the bid, that are to be withdrawn in the Updated Bid, and of such exceptions or deviations that the Employer finds acceptable.

17. Invitation to Submit Updated Bid

As per gem guidelines

18. Price bid opening – The price bids of the techno-commercially qualified bidder shall be opened. The date and time of opening of price bids shall be informed to such qualified bidders at a later date.

19. Evaluation of Price bids -

19.1 Arithmetic errors will be rectified on the following basis;

SAP Application System Audit at NMDC Steel Limited.

If there is a discrepancy between the unit price and the total price that is obtained by multiplying the unit price and quantity, or between sub totals and the total price, the unit price or subtotal price (as the case may be) shall prevail and the total price shall be corrected. If there is a discrepancy between words and figures, the amount in words will prevail. If the Bidder does not accept the correction of errors, its bid will be rejected.

19.2 The following criteria will be used in the evaluation:

- (a). The Taxes and Duties as mentioned in clause no.5 of GCC, if any, which are to be borne by the Employer shall be added to the quoted basic price. However, Goods and Service Tax thereon, if eligible for ITC shall be included for evaluation and comparison of bids.
- (b). Total Quoted Price of Bidder shall include all applicable taxes, duties & levies including Goods and Service Tax at applicable rates prevailing 7 (seven) days before date of submission of Original Price Bids or Updated Price Bid, whichever is later.

However, Goods and Service Tax rate and amount shall be indicated separately as per GST Act, rules and notifications made thereunder.

- (c). Price evaluation shall be done for the complete scope as per Technical Specification.
- (d). Bid containing rates quoted for unit of quantities other than as specified may render the bid liable for rejection.

20. Award Criteria

Subsequent to evaluation of offers, the Employer through **Letter of Award (LAC)** will award the Contract to the successful Tenderer, whose bid has been determined to be substantially responsive.

21. Employer's Right to accept Any Bid and to Reject Any or All Bids

The Employer reserves the right to accept or reject any bid (Original or Updated bid), and to annul the bidding process and reject all bids at any time prior to award of Contract, without thereby incurring any liability to the affected Tenderer or Tenderers or any obligation to inform the affected Tenderer or Tenderers of grounds for the Employer's such action.

22. Signing of Contract Agreement

- ~~22.1~~ Subsequent to Acceptance of the Letter of Award of Contract (LAC) by the Service Provider, the Employer shall dispatch within 15 days a copy of the draft Contract Agreement to the Service Provider. Within 15 days, the Service Provider shall prepare the final contract documents in two (2) original copies and sign the Contract Agreement.
- ~~22.2~~ The Service Provider shall furnish for signing of the Contract appropriate power of attorney and other requisite materials. In the case of a Tenderer being a consortium becoming the Successful Bidder, all the members shall be signatories to the Contract.
- ~~22.3~~ The date of deployment of manpower by the successful Service Provider, is the effective date of contract, which shall be within 30 days from the date of issue of LAC.
- ~~22.4~~ The Agreement will be signed in two (2) originals and the Service Provider shall be provided with one signed original and the Owner will retain the second. All expenses for making agreements including cost of stamp papers shall have borne by the Service Provider.
- ~~22.5~~ Subsequent to signing of the Contract, the Service Provider at his own cost shall provide the owner with Four (4) photo copies of Agreement and one soft copy.

23. Performance Bank Guarantee –

Contract Performance bank guarantee shall be as bellow;

Manner of submission of Contract Performance;

- i. The successful tenderer whose tender has been accepted for award of work (herein after referred to as the Service Provider /consultant/ expert agency or any other nomenclature as per contract), is required to deposit an amount equivalent to 10% of the value of the work as awarded as CPG/ SD in the following form.
- ii. Security Deposit (SD) / contract performance Guarantee (CPG) @10% of the contract value shall be submitted by the Successful Bidder in the form of EFT / Bank Guarantee (BG) from a Nationalized Indian Bank/Scheduled commercial bank Including a foreign bank having a branch in India within 30 days from the date of issue of LAC it shall be for due and faithful performance of the contract in accordance with the terms and conditions specified in the tender documents. The guarantee shall be valid till the expiry of the guarantee period/ defect liability, as applicable. Period plus three months.

SAP Application System Audit at NMDC Steel Limited.

- iii. Extension of time for submission of CPG beyond 30 days (Thirty) from the effective date of Contract may be given by the Authority who is competent to sign the LAC. However, a penal interest of 12% per annum shall be charged for the delay beyond 30 days i.e., from the 31st day after the effective date of Contract. If the Successful Bidder fails to submit the CPG.
- iv. Contract performance Guarantee (CPG) in the form of EFT / Bank Guarantee (BG) from a Nationalized Indian Bank/Scheduled commercial bank Including a foreign bank having a branch in India shall be submitted by the Successful Bidder within 30 days from the effective date of Contract unless otherwise agreed to in the contract.
- v. Contract performance Guarantee (CPG) shall be for due and faithful performance of the contract in accordance with the terms and conditions specified in the tender documents. The guarantee shall be valid till the expiry of the guarantee period/ defect liability period, as applicable, plus three months.
- vi. The Contact performance guarantee deposited by the Successful Bidder shall be returned/refunded to the Successful Bidder on demand, after the expiry of the defect liability period/expiry of the guarantee period or on payment of the amount of the final bill in accordance with relevant clauses of the contract, whichever is letter, provided NMDC is satisfied that there is no demand outstanding against the Successful Bidder.

24. Integrity Pact

~~24.1 Integrity Pact: NSL is committed to fostering the ethical and corruption free business environment. It values its relationship with all counterparties and deals with them in a fair and transparent manner.~~

~~24.2 Integrity Pact is a tool, which ensures that all activities and transactions between NMDC Steel Limited (NSL) and their counterparties are handled in a fair, transparent and corruption-free manner.~~

~~24.3 The Tenderers shall sign an integrity pact and attach the same with his Bid. The format for the integrity pact is attached as Annexure — 3 to ITT. The Integrity Pact has to be signed by the Proprietor/Owner/Partner/Director or by their duly Authorized signatory. In case of failure to return the Integrity Pact along with offer/bid, duly signed by the authority as mentioned above, the offer shall be rejected.~~

SAP Application System Audit at NMDC Steel Limited.

~~24.4 Following is the procedure for submitting the Integrity Pact;~~

~~24.4.1 Indian / Overseas Tenderers shall submit the Integrity Pact (IP) document on its company's letter head, duly signed by the authorized representative on all pages.~~

~~24.4.2 If the Bidder / Service Provider is in a partnership or a consortium / Associate the Integrity Pact shall be signed by all the partners or consortium members including overseas consortium members. The Bidder and Associate can submit the Integrity Pact separately also.~~

~~24.4.3 On behalf of NSL, the Integrity Pact will be signed by the authorized nominee on receipt of Integrity Pact signed by the Bidder.~~

~~24.4.4 The Integrity Pact shall be submitted in a separate envelope duly superscribing "Integrity Pact" and submit with Part-I of the offer.~~

~~24.4.5 The Bidder shall not change the contents of Integrity Pact.~~

~~24.4.6 The Bidder / Service Provider will abide by the conditions given in the IP document enclosed as annexure along with the tender document.~~

~~24.4.7 The details of the External Independent Monitors nominated for this tender are given hereunder:~~

Sl. No.	Name of the External Independent Monitor & Address
1	Shri Vishvapavan Pati, IPoS (Retd.), Email: vp Pati_2000@yahoo.com , pativishvapavan@gmail.com
2	Smt. Rajni Sekhri Sibal, IAS (Retd.) Email: rajnisekhrisibal@gmail.com
3	Shri P V Rao, IRS (Retd.) E-mail: pasupuletirao@yahoo.co.in

25.0 GENERAL

25.1 Disqualification of Bidder:

SAP Application System Audit at NMDC Steel Limited.

Even if a Bidder meets all the Eligibility Criteria and all other technical and commercial requirements, he is liable to be disqualified, without prejudice to Employer's rights to take legal actions as per applicable law, if he has made untrue or false representations in the forms, statements, translations and enclosures submitted in proof of eligibility and qualification requirements, and/or made any misrepresentation of facts in order to influence the tendering process and its outcome.

- 25.2** There shall be no post tender negotiations. However, in exceptional cases negotiations with successful bidder may be held by the Employer.

SAP Application System Audit at NMDC Steel Limited.

ANNEXURE-1

PROFORMA OF LETTER OF UNDERTAKING (LOU)

(To be submitted by the Tenderer along with the tender in Company's Letter head)

Tenderer's Ref. No. ----- Dated:

To,
NMDC Steel Limited (NSL),
P.O. Nagarnar Dist. Bastar,
Chhattisgarh - 494001
Email: nslcontracts@nmdc.co.in

Dear Sirs,

We have read and examined the following Tender documents relating to **SAP Application System Audit at NMDC Steel Limited.**"

- (i). Notice Inviting Tender (NIT)
 - (ii). Instruction to Tenderer (ITT) with Annexure
 - (iii). Special Conditions of Contract
 - (iv). Letter Award Of Contract with Appendices
 - (v). General Conditions of Contract
 - (vi). Safety Code for Service Providers
1. Having examined the bidding documents, including addenda (if any), the receipt of which is hereby acknowledged, we, the undersigned, offer the above-named Facilities in full conformity with the said bidding documents for the sum as may be determined in accordance with the terms and conditions of the Contract. **We hereby submit our tender as per terms of NIT and other documents.**
 2. We further undertake, if invited to do so by you, and at our own cost, to attend a clarification meeting at a place of your choice, for the purpose of reviewing our Bid and duly noting all amendments and additions thereto and noting omissions there from that you may require.
 3. We undertake, if our bid is accepted for award of contract, we commence execution of work of within the stated timelines of the tender / contract.

SAP Application System Audit at NMDC Steel Limited.

4. If our bid is accepted, we undertake to provide a Performance Bank Guarantee in the form, in the amount, and within the time specified in the bidding documents.
5. We undertake to keep our Tender valid initially for a period of Sixty (60) days from the due date of opening of tender. We hereby further undertake that I/We shall not vary/alter or revoke my/our Tender during the said period or extended period, if any.
6. Should this Tender be accepted, we also agree to abide by and fulfil all the terms, conditions and provisions of the above-mentioned tender documents.
7. We hereby confirm that before submission of this bid, we have visited the site / fully acquainted with site and with local conditions and factors for execution of the works covered under these bid documents and that we shall have no claims against NSL on these counts at any time.
8. Until a formal Contract is prepared and executed between us, this bid, together with your written acceptance thereof and your notification of award shall constitute a binding Contract between us.
9. We understand that you are not bound to accept any bid you may receive and in-turn we will not have any rights to raise any claim, whatsoever it may be, due to or arising out of rejection of our bids.

Signature along with Seal of Co.

.....

(Of the person duly authorized to sign the Tender)

Name -

Designation -

Name of Co. -
(In block letters)



SAP Application System Audit at NMDC Steel Limited.

Date & Postal Address -

.....

.....

.....

WITNESS

Signature -

Telegraphic Address: -

Date -

Name & Address -

.....

.....

Telephone No. -

* Strike out whichever is not applicable



SAP Application System Audit at NMDC Steel Limited.

ANNEXURE-2

PROFORMA FOR BANK GUARANTEE IN LIEU OF EARNEST MONEY DEPOSIT

(to be submitted on Non-judicial stamp paper of value not less than Rs.100/-)

_____ Bank Ltd.

B.G. No. _____

A/c of (Name & Address of Bidder) _____

Limit of liability _____ Rs. / _____

Date of expiry _____

Ref: Tender Notice No. _____ dt. _____

For (Name of work) _____

Subject: **Earnest Money Deposit**

To,

NMDC Steel Limited (NSL),

P.O. Nagarnar Dist. Bastar,

Chhattisgarh - 494001

Email: nslcontracts@nmdc.co.in

Dear Sirs,

In consideration of the NMDC Steel Limited (NSL), (hereinafter called "the Company") which expression shall unless repugnant to the subject or context include his successors and assigns having agreed to exempt M/s _____ from demand under the terms & conditions of Tender No. _____ issued by the Company for the works (hereinafter called "the said Document") from deposit of Earnest Money for the due fulfillment by the M/s (name of the Bidder) of the terms and conditions contained in the said Document on production of Bank Guarantee for _____ (Rupees _____ only).

SAP Application System Audit at NMDC Steel Limited.

1. I/We the _____ Bank. Ltd. (hereinafter referred to as "the said Bank"), a company under the companies Act. 1956 and having our registered office at _____ do hereby undertake and agree to indemnify and keep indemnified the Company to the extent of Rs./_____ (Rupees _____ only) against any losses, damage cost, charges and expenses caused to or suffered by or that may be caused or suffered by the Company by reason of any breach or breaches by M/s(name of the Bidder) of any of the terms and conditions contained in the said Document and unconditionally pay the amount claimed by the Company on demand and without demur to the extent aforesaid.
2. We _____ Bank Ltd. do hereby undertake to pay the amount due and payable under the guarantee without any demur, reservation, protest and notwithstanding any dispute between the Company and the Bidder merely on a demand by you stating that the amount claimed is due by way of loss or damage caused to or would be caused or suffered by you by reason of any breach by M/s(name of the Bidder) of any of the terms or conditions contained in the said Document by reason of the M/s(name of the Bidder)'s failure to perform conditions of the said Document. Any such demand on the Bank shall be conclusive as regards the amount due and payable by the Bank under this guarantee. However, our liability under this guarantee shall be restricted to an amount not exceeding Rs. /.
3. We _____ Bank Ltd. further agree that the Company shall be the sole judge of and as to whether the M/s.....(name of the Bidder) has committed any breach or breaches of any of the terms and conditions of the said Document and the extent of loss, damages, costs charges and expenses caused to or suffered by or that may be caused to or suffered by the Company on account thereof to the extent of the Earnest Money required to be deposited by M/s(name of the Bidder) in respect of the said Document and the decision of the Company that M/s.....(name of the Bidder) has committed such breach or breaches and as to the amount or amounts of loss, damages, costs, charges and expenses caused to or suffered by or that may be caused to or suffered by the Company shall be final and binding on us.
4. We _____ Bank Ltd. further agree that guarantee herein contained shall remain in full force and effect during the period that would be taken for the

SAP Application System Audit at NMDC Steel Limited.

~~performance of the said Document and that it shall continue to be enforceable till all your dues under or by virtue of the said Document have been fully paid and its claims satisfied or discharged or till you certify that terms and conditions of the said document have been fully and properly carried out by the said M/s..... and accordingly discharge the guarantee. Unless a demand or claim under this guarantee is made on us in writing on or before the _____ we shall be discharged from all liability under this guarantee.~~

- ~~5. We _____ Bank Ltd. further agree with you that you shall have the fullest liberty without our consent and without affecting in any manner our obligations hereunder to vary any of the terms and conditions of the said Document or to extend time asked by M/s..... from time to time or to postpone for any time or from time to time any of the powers exercisable by you against M/s and to forbear or enforce any of the terms and conditions relating to the said document and we shall not be relieved from our liability by reason of any such variation or extension being granted to M/s..... or for any forbearance act or omission on your part or any indulgence by you to M/s..... or by any such matter or thing whatsoever under the law relating to sureties would but for this provision have effect of so relieving us.~~
- ~~6. It shall not be necessary for the Company to proceed against M/s..... before proceeding against the Bank and the Guarantee herein contained shall be enforceable against the Bank, notwithstanding any security which the Company may have obtained from M/s..... at this time when proceedings are taken against Bank hereunder be outstanding or unrealised.~~
- ~~7. We _____ Bank Ltd. further undertake to unconditionally pay the amount claimed by the Company merely on demand and without demur to the extent aforesaid.~~
- ~~8. We, the said Bank lastly undertake not to revoke this guarantee during its currency except with the previous consent of the Company in writing and agree that any change in the constitution of the Company or of M/s..... or the said Bank shall not discharge our liability hereunder.~~
- ~~9. Notwithstanding anything contained herein our liability under this bank guarantee shall not exceed Rs (Rupees)~~

~~(i) This bank Guarantee shall remain valid upto _____~~



SAP Application System Audit at NMDC Steel Limited.

~~(ii) Our liability to make payments shall arise and we are liable to pay the guaranteed amount or any part thereof under this guarantee only and only if you serve upon us a written claim or demand in terms of guarantee on or before~~

_____ For _____ Bank Ltd.

_____ Signature _____

_____ Seal

Witness _____

Dated.....day of20

~~While issuing the Bank Guarantee for Earnest Money, the issuing Bank must furnish following details:~~

- ~~_____ Name & address of the Bank~~
- ~~_____ Contact person~~
- ~~_____ Telephone no.~~
- ~~_____ Fax no.~~
- ~~_____ E-mail address:~~

~~The Bidder while getting the Bank Guarantees issued by the Banker must take care of the above details.~~

SAP Application System Audit at NMDC Steel Limited.

ANNEXURE – 3

(To be submitted by the Tenderer along with the tender in Company's Letter head)

INTEGRITY PACT

Between

NMDC-STEEL Ltd hereinafter referred to as "The Principal"

And

_____ hereinafter referred to as "The Bidder / Consultant"

PREAMBLE

The principal intends to award, under laid down organizational procedures, contract/s for (Description of the Equipment). The principal values full compliance with all relevant laws and regulations, and the principles of economical use of resources, and of fairness and transparency in its relation with its Bidder/s and /or Consultant/s.

In order to achieve these goals, the Principal Cooperates with the renowned international Non-Governmental Organization "Transparency International" (TI). Following TI's national and international experience, the principal will appoint an external independent Monitor who will monitor the tender process from the beginning till execution of the contract for compliance with the principles mentioned HEREIN.

Section 1- Commitments of the Principal.

(1) The principal commits itself to take all measures necessary to prevent corruption and to observe the following principles:-

- I. No employee of the principal, personally or through family members, will in connection with the tender for, or the execution of a contract demand, take a promise for or accept, for him/herself or third person, any material benefit which he/she is not legally entitled to.
- II. The principal will, during the tender process treat all Bidders with equity and reason. The principal will in particular, before and during the tender process, provide to all Bidders the same information and will not provide to any Bidder confidential/additional information through which the Bidder could obtain an

SAP Application System Audit at NMDC Steel Limited.

~~advantage in relation to the tender process or the contract execution.~~

~~III. The principal will exclude from the process all known prejudiced persons.~~

~~(2) If the Principal obtains information on the conduct of any of its employees which is a criminal offence under the relevant Anti-Corruption Laws of India, or if there be a substantive suspicion in this regard, the principal will inform its Vigilance Office and in addition can initiate disciplinary action.~~

SECTION – 2 COMMITMENTS OF THE BIDDER/CONSULTANT

~~(1) The Bidder / Consultant commit himself to take all measures necessary to prevent corruption. He commits himself to observe the following principles during his participation in the tender process and during the contract execution.~~

~~I. The Bidder / Consultant will not, directly or through any other person or firm, offer, promise or give to the principal, to any of the principal's employee involved in the tender process or the execution of the contract or to any third person any material or immaterial benefit which he/she is not legally entitled to, in order to obtain in exchange an advantage during the tender process or the execution of the contract.~~

~~II. The Bidder / Consultant will not enter with other Bidders into any illegal Agreement or understanding, whether formal or informal. This applies in particular to prices, specifications, certifications, subsidiary contracts, submission or non-submission of bids or action to restrict competitiveness.~~

~~III. The Bidder / Consultant will not commit any criminal offence under the relevant Anti-Corruption Laws of India, further the Bidder/Consultant will not use improperly, for purposes of competition or personal gain, or pass on to others, any information provided by the principal as part of the business relationship, regarding plans, technical proposals and business details, including information contained or transmitted electronically.~~

~~IV. The Bidder/Consultant will, when presenting his bid, disclose any and all payments he has made, is committed to or intends to make to agents, brokers or any other intermediaries in connection with the award of the contract.~~

~~(2) The Bidder / Consultant will not instigate third persons to commit offences outlined above or be an accessory to such offences.~~

~~(3) The Bidder / Consultant may indicate the advantage of his offer compared to the~~

SAP Application System Audit at NMDC Steel Limited.

~~tender terms and conditions. The Bidder / Consultant shall not make any commitment whatsoever on the offers / products of other bidder(s) thereby influencing the principal to take decision of the former.~~

SECTION 3 – DISQUALIFICATION FROM TENDER PROCESS AND EXCLUSION FROM FUTURE CONTRACT

- ~~(1) If the Bidder, before contract award, has committed a serious transgression through a violation of Section 2 or in any other form such as to put his reliability or credibility as Bidder into question, the Principal is entitled to disqualify the Bidder from the tender process or to terminate the contract, if already signed, for such reason.~~
- ~~(2) If the Bidder/Consultant has committed a serious transgression through a violation of section — 2 such as to put his reliability or credibility into question, the principal is entitled also to exclude the Bidder / Consultant from future contract award processes. The imposition and duration of the exclusion will be determined by the severity of the transgression. The severity will be determined by the circumstances of the case, in particular the number of transgressions, the position of the transgressors with the company hierarchy of the Bidder and the amount of the damage. The exclusion will be imposed for a minimum of 6 months and maximum of 3 years.~~
- ~~(3) If the Bidder / Consultant can prove that he has restored/recouped the damage caused by him and has installed a suitable corruption prevention system, the Principal may revoke the exclusion prematurely.~~
- ~~(4) A transgression is considered to have occurred if in light of available evidence, no reasonable doubt is possible.~~

SECTION 4 – FORFEITURE OF EARNEST MONEY DEPOSIT/SECURITY DEPOSIT

- ~~(1) If the Principal has disqualified the Bidder from the tender process prior to the award according to Section 3, the Principal is entitled to forfeit the bidders Earnest Money Deposit.~~
- ~~(2) If the Principal has terminated the contract according to section — 3, or if the principal is entitled to terminate the contract according to section — 3, the principal shall be entitled to forfeit the Earnest Money Deposit/Security Deposit.~~

SECTION 5 – PREVIOUS TRANSGRESSION

- ~~(1) The Bidder declares that no previous transgression occurred in the last three years with any other company in any country confirming to the TI approach or with any other Public Sector Enterprise in India that could justify its exclusion from the tender process.~~
- ~~(2) If the bidder makes incorrect statement on this subject, he can be disqualified from the tender process or the contract, if already awarded, can be terminated for such reason.~~

SECTION 6 – EQUAL TREATMENT OF ALL BIDDERS/CONSULTANTS/SUB-CONSULTANTS.

- ~~(1) The bidder/Consultant undertakes to demand from all sub-Consultants the commitment consistent with this integrity pact, and to submit it to the Principal before contract signing.~~
- ~~(2) The principal will enter into Agreement with identical conditions as this one with all bidders, Consultants and sub-Consultants.~~
- ~~(3) The principal will disqualify from the tender process all bidders who do not sign this pact and submit it to the Principal along with the offer.~~

SECTION 7 – CRIMINAL CHARGES VIOLATING BIDDERS/CONSULTANTS/SUB-CONSULTANTS

~~If the principal obtains knowledge of conduct of a Bidders/Consultants/Sub-Consultants, or of an employee or a representative or an associate of a Bidders/Consultants/Sub-Consultants which constitutes corruption, or if the principal has substantive suspicion in this regard, the principal will inform the vigilance office.~~

SECTION 8 – EXTERNAL INDEPENDENT MONITOR

- ~~(1) The principal appoints competent and credible external independent Monitor for this Pact. The task of the monitor is to review independently and objectively, whether and to what extent the parties comply with the obligations under this Agreement.~~
- ~~(2) The monitor is not subject to instructions by the representatives of the parties and performs his functions neutrally and independently. He reports to the Chairman of the Board of the Principal.~~

SAP Application System Audit at NMDC Steel Limited.

- ~~(3) The Monitor has the right of access without restriction to all Projects documentation of the principal. The Consultant will also grant the monitor, upon his request and demonstration of a valid interest, unlimited access to his project documentation. The same is applicable to Sub Consultants. The Monitor is under contractual obligation to treat the information and documents of the Bidder/Consultant/ Sub Consultant with confidentiality.~~
- ~~(4) The principal will provide to the Monitor sufficient information about all meetings among the parties related to the Project provided such meetings could have an impact on the contractual relations between the Principal and the Consultant. The parties offer to the Monitor the option to participate in such meetings.~~
- ~~(5) As soon as the Monitor notices, or believes to notice, a violation of this Agreement, he will so inform the Management of the Principal and request the Management to discontinue or heal the violation or take other relevant action. The monitor can in this regard submit non-binding recommendations. Beyond this, the Monitor has no right to demand from the parties that they act in a specific manner, refrain from action or tolerate action.~~
- ~~(6) The Monitor will regularly submit a written report to the Chairman of the Board of the Principal and, should the occasion arise, submit proposals for correcting problematic situations.~~
- ~~(7) If the Monitor has reported to the Chairman of the Board a substantiated suspicion of an offence under relevant Anti-Corruption Laws of India, and the Chairman has not, with reasonable time, taken visible action to proceed against such offence or reported it to the Vigilance Officer, the Monitor may also transmit this information directly to the Central Vigilance Commissioner, Government of India.~~

SECTION 9 – PACT DURATION

~~This Pact begins when both parties have legally signed it. It expires for the Consultant 12 months after the last payment under the respective contract, and for all other Bidder's 6 months after the contract has been awarded.~~

SECTION 10 – OTHER PROVISIONS

- ~~(1) This Agreement is subject to Indian Law. Place of performance and jurisdiction is the Corporate Office of the Principal.~~



SAP Application System Audit at NMDC Steel Limited.

- ~~(2) Changes and supplements as well as termination notices need to be made in writing. Side Agreements have not been made.~~
- ~~(3) Should one or several provisions of this Agreement turn out to be invalid, the remainder of this Agreement remains valid. In this case, the parties will strive to come to an Agreement to their original intentions.~~
- ~~(4) A person signing Integrity Pact shall not approach the courts while representing the matters to IEMs and he/she will await their decision in this matter.~~
- ~~(5) Foreign bidders to disclose the name and address of agents and representatives in India and Indian Bidders to disclosed their foreign principals or associates.~~
- ~~(6) Bidders to disclose the payments to be made them to agents/ brokers or any other intermediary.~~

For the Principal

For the Bidder/Consultant

Place _____

Witness 1: _____

Date _____

Witness 2: _____



SAP Application System Audit at NMDC Steel Limited.

FORMAT FOR COMPLETENESS OF INTEGRITY PACT

CERTIFICATE

NAME OF THE TENDER:

TENDER ENQUIRY NO:

DATE OF TENDER ENQUIRY:

I/WE hereby undertake that M/s.....confirm
completeness of "Integrity Pact" provided in Part-A of the tender document.

Signature of the authorized

person

On behalf of

M/s. _____

Seal and Signature

Place:

Date:

SAP Application System Audit at NMDC Steel Limited.

ANNEXURE - 4 INFORMATION ABOUT THE BIDDER

Sl. No.	Information requested	Tenderer's reply [to be filled-in / replied appropriately by the tenderer along with supporting documents as applicable.]
1	Information regarding constitution / legal status of the tenderer:	
a	Name of the firm :	
b	Type of the firm (Limited/Partnership/Proprietorship etc.)	
c	Place of Incorporation / Registration :	
d	Year of Incorporation/ Registration :	
e	Whether supporting document(s) regarding (1) above are enclosed (Copies of Certificate of Incorporation / Articles of Association /Partnership Deed etc., as applicable to be enclosed.)	Yes / No <u>Following document(s) are enclosed:</u>
2	Power of Attorney of signatory of tender	Enclosed /Not enclosed
3	Information regarding tenderer's registration under Micro and Small Enterprises units (MSE) as per guidelines for Public Procurement Policy for MSEs Order, 2012 for goods or services registered with NSIC/DIC/UAM	
a	Whether the tenderer holds a valid registration under Micro and Small Enterprises units (MSE) as per guidelines for Public Procurement Policy for MSEs Order, 2012 for goods or services registered with NSIC/DIC/UAM	Yes / No

SAP Application System Audit at NMDC Steel Limited.

b	If answer to (a) above is YES, then whether a notarized copy of such registration certificate with MSMED is enclosed with Part-I of tender.	Yes /No
6	Details of signatory to tender for correspondence / communication:	
	Name & Designation:	
	Telephone No:	
	Fax No:	
	E-mail ID:	
7	Account details of the tenderer for facilitating e-payment: <i>(Details of Bank Account of tenderer indicating Name of the bank and branch, Branch Code, Account Number of the firm, RTGS/IRSC Code of the Bank etc. to be furnished for facilitating e-Payments)</i>	
8	Permanent Account Number :	
	Whether Photocopy of Permanent Account Number (PAN) issued by Income tax department is enclosed	Yes /No
9.a.	Goods & Service tax Registration No.:	
	Whether Copy of Goods & Service tax Registration Certificate is enclosed	Yes /No
9.b.	State of Goods & Service tax registration is taken	
9.c.	Type of registration (Registered/ Unregistered/Compositions)	

SAP Application System Audit at NMDC Steel Limited.

ANNEXURE – 5 Void

ANNEXURE - 6

STATEMENT OF EXCEPTIONS & DEVIATIONS

Sl. No.	Clause No.	Clause as per Tender Document	Clause as proposed by the Tenderer	Remarks

Signature of the Tenderer with date and seal

Note:

- Deviations indicated at other than the prescribed place i.e. Other than Annexure-6, shall not be considered and shall be ignored.
- If there are no deviations, then Annexure – 6 has to be submitted by indicating 'NIL' deviation



SAP Application System Audit at NMDC Steel Limited.

ANNEXURE - 7

PROFORMA OF BANK GUARANTEE FOR CONTRACT PERFORMANCE (SECURITY DEPOSIT)

(On non – judicial stamp paper of value not less than Rs 100/-)
The non-judicial stamp paper should be in the name of issuing bank

Ref.....

Bank Guarantee No.

Date

**NMDC Steel Limited (NSL),
P.O. Nagarnar Dist. Bastar,
Chhattisgarh - 494001
Email: nslcontracts@nmdc.co.in**

Dear Sirs,

In consideration of the NMDC Steel Limited (NSL), (herein after referred to as the 'Employer') which expression shall unless repugnant to the Context or meaning thereof include its successors, administrators and assigns having awarded to M/s. _____ with its Registered/Head office at _____ (hereinafter referred to as the 'Service Provider') which expression shall unless repugnant to the context or meaning thereof, include its successors, administrators, executors and assigns, a _____ dated _____ and the same having been unequivocally accepted by the Service Provider resulting in a "contract" for _____ and Service Provider having agreed to provide Performance Guarantee for the faithful performance of the entire contract for 5% of contract price.

We _____ having (Name and Address) its Head Office at _____ (hereinafter referred to as the 'Bank'), which expression shall, unless repugnant to the context or meaning thereof, include its successors, administrators, executors and assigns do hereby guarantee and undertake to pay the Employer, on demand any and all monies payable by the Service Provider to the extent of _____ as aforesaid at any time up to _____ (days/month/year) without any demur, reservation, recourse or protest and/or without any reference to the Service Provider. Any such demand made by the Employer on the Bank shall be conclusive and binding not withstanding any difference between the Employer and Service Provider or any dispute

SAP Application System Audit at NMDC Steel Limited.

pending before any court, tribunal or any other authority. The Bank undertakes not to revoke this guarantee during its currency without previous consent of the Employer and further agrees that the guarantee herein contained shall continue to be enforceable till the Employer discharges this guarantee.

The Employer shall have the fullest liberty without affecting in any way the liability of the Bank under this guarantee from time to time to extend the time for performance of the contract by the Service Provider. The Employer shall have the fullest liberty, without affecting this guarantee, to postpone from time to time the Employer right, vested in them or of any right which they might have against the Service Provider, and to exercise the same any time in any manner, and either to enforce or to forbear to enforce any covenants, contained or implied, in the contract between the Employer and Service Provider or any other course of or remedy or security available to the Employer. The Bank shall not be released of its obligations under these presents by any exercise by the Employer of its liberty with reference to the matters aforesaid or any of them or by reason of any other acts of omission or commission on the part of the Employer or any other indulgence shown by the Employer or by any other matters or thing whatsoever which under law would, but for this provision, have the effect of relieving the Bank.

The Bank also agrees that the Employer at its option shall be entitled to enforce this Guarantee against the Bank as a principal debtor, in the first instance without proceeding against the Service Provider and notwithstanding any security or other guarantee that the Employer may have in relation the Service Provider's liabilities.

Notwithstanding anything contained herein above our liability under this guarantee is restricted to _____ and it shall remain in force upto and including _____ * * and shall be extended from time to time for such period (not exceeding one year), as may be desired by M/s. _____ whose behalf this guarantee has been given.

Dated this _____ day of _____ 200 at _____.

WITNESS



SAP Application System Audit at NMDC Steel Limited.

Signature

Signature -----

(Name)

(Bank's Rubber Stamp)

Official address

(Name) -----

Designation with Bank stamp

Attorney as per power of Attorney

No. -----

Dated -----

While issuing the Bank Guarantee the issuing Bank must furnish following details:

- Name & address of the Bank
- Contact person
- Telephone no.
- Fax no.
- E-mail address:

The Bidder while getting the Bank Guarantees issued by the Banker must take care of the above details.



SAP Application System Audit at NMDC Steel Limited.

ANNEXURE - 8
FORM OF EXTENSION OF BANK GUARANTEE
(On non-judicial stamp paper of value not less than Rs 100/-)

Ref. No. _____ Date : _____

To
NMDC Steel Limited (NSL),
P.O. Nagarnar Dist. Bastar,
Chhattisgarh - 494001
Email: nslcontracts@nmdc.co.in

Sub: Extension of Bank Guarantee No. _____ dated _____ for Rs. _____ favoring yourselves, expiring on _____ account of M/s. _____ in respect of Contract #. _____ dated _____ (called original Bank Guarantee).

Dear Sirs,

At the request of M/s. _____, we _____ Bank Branch Office at _____ and having its head office at _____ do hereby extend our liability under the above mentioned Guarantee No. _____ dated _____ for a further period of _____ years/ Months from _____ to expire on _____.

Except as provided above, all other terms and conditions of the original Bank Guarantee No. _____ dated _____ shall remain unaltered and binding.

Please treat this as an integral part of the original guarantee to which it would be attached.

Yours faithfully,

For _____
Manager/Agent/Accountant
Power of Attorney No. _____
Dated: _____

SEAL OF BANK

NOTE:

The non-judicial stamp papers of appropriate value be purchased in the name of the bank who has issued Bank Guarantee.

ANNEXURE – 9

NSL Policy on Banning of Business Dealings with Agencies

NSL has introduced Policy on Banning of Business Dealings with Agencies, which covers both suspension and banning of business dealings with the Agency that commits fraud and/or transgression in the dealings with NMDC STEEL LIMITED. The Policy is on the NMDC website, www.nmdc.co.in

The Grounds for Banning of Business Dealings and the Banning Period as per the Policy are given below:

GROUND FOR BANNING BUSINESS DEALINGS

For the sake of clarity, the grounds on which banning of business dealings can be considered are given below. These are only illustrative, not exhaustive. The Competent Authority may decide to ban Business Dealings with an Agency for any good and sufficient reason.

- a) Security considerations, including questions of loyalty of the Agency to the State
- b) Conviction of the Director / owner / proprietor / partner of the Agency by a Court of Law for offences involving moral turpitude in relation to its business dealings with the Government or any other public sector enterprises or NMDC during the last five years.
- c) Evidence / strong justification for believing that the Director / owner / proprietor / partner of the Agency has / have been guilty of malpractices such as bribery, corruption, fraud, substitution of tenders, interpolation in tenders, etc.
- d) The Agency's repeated refusal to return / refund the dues to NMDC without showing adequate reason and this is not due to any reasonable dispute which would attract proceedings in arbitration or Court of Law.
- e) The Agency employs an employee who was dismissed removed by NMDC for an offence involving corruption or abetment of such an offence.
- f) The banning of business dealings with the Agency by the Government or any other public sector enterprise.

SAP Application System Audit at NMDC Steel Limited.

- g) The Agency restored to corrupt or fraudulent practices that may include misrepresentation of facts and / or fudging / forging / tampering of documents.

[Note: Cases where mistakes do not have implication on the eligibility of the bidder in terms of PQC, i.e. an ineligible bidder does not become eligible or vice versa, such cases shall not fall within the ambit of the Banning policy.]

- h) The Agency used intimidation / threatening or brings undue outside pressure on NMDC / its official in relation to a Business Dealing.
- i) The Agency resorts to repeated and / or deliberate use of delay tactics in complying with contractual stipulations.
- j) Willful act of the Agency to supply sub-standard material irrespective of whether pre-dispatch inspection was carried out by NMDC or not
- k) The findings of CVO/CBI/Police about the Agency's involvement in fraud and / or transgressions in relation to the Business Dealings with NMDC
- l) Established litigant nature of the Agency to derive undue benefit'
- m) Continued poor performance of the Agency in at least three preceding contracts with NSL
- n) The Agency misuses the premises or facilities of NSL and / or forcefully occupies tampers or damages NSL's properties including land, water resources, forests / trees, etc.
- o) False allegation on NSL officials by the Agency if found proved by an Investigating or by the Independent External Monitor including any Government agency like CVC / CVO / CBI / Police etc.

BANNING PERIOD

The Banning Period may range from six months to three years depending on the gravity of the case as decided by the Competent Authority. While deciding the Banning Period, the Suspension Period, if any, shall also be taken into account.

Letter of Undertaking towards PF code

(Applicable to bidders who do not possess the PF code)
(on a non-judicial stamp paper of value not less than Rs.100/-)

I / We hereby confirm that I/We am/are not registered with any of the Regional Provident Fund Authorities and /or I/We are not possessing a valid Provident Fund code number at present.

I / We hereby undertake to register with Regional Provident Fund Authorities and/or obtain a valid provident fund code number within one month from the date of issue of Letter of Intent / Letter of Award of Contract whichever is earlier.

I / We also agree that any payment due to us arising out of the execution of the contract shall be released by the owner only after submission of a copy of the valid PF code number allotted to us.

Signature of the bidder with seal

Annexure – 11 VOID (List of Machineries and Tools & Tackles to be Mobilized)

ANNEXURE – 12

Restrictions under Rule 144 (XI) of the General Financial Rules (GFRS), 2017

Rule 144 of the General Financial Rules 2017 entitled 'Fundamental principles of public buying', has been amended by inserting sub-rule (xi) as under:

Notwithstanding anything contained in these Rules, Department of Expenditure may, by order in writing, impose restrictions, including prior registration and/or screening, on procurement from bidders from a country or countries, or a class of countries, on grounds of defence of India, or matters directly or indirectly related thereto including national security; no procurement shall be made in violation of such restrictions.

For this Tender, Public Procurement No.1 dated 23.07.2020, Public Procurement No.2 dated 23.07.2020 & Public Procurement No.3 dated 24.07.2020 issued by Department of Expenditure, Public Procurement Division and subsequent orders issued by the Nodal Ministry shall be applicable even if issued after issue of the NIT but before finalization of contract/ PO/WO against this NIT. Tenderers are requested to go through the above-mentioned order.

The following requirements need to be met by the bidder for participating in the tender.

Any bidder from a country which shares a land border with India will be eligible to bid in this tender only if the bidder is registered with the Competent Authority. However the above mentioned circular - Public Procurement No.1 dated 23.07.2020 issued by Department of Expenditure, Public Procurement Division will not apply to bidders from those countries (even if sharing a land border with India) to which the Government of India has extended lines of credit or in which the Government of India is engaged in development projects as per circular no F.No.S/18/2019-PPD, Order (Public Procurement No. 2) dated 23-07-2020 issued by Department of Expenditure, Public Procurement Division.

- i. "Bidder" (including the term 'tenderer', 'vendor' or 'service provider', 'Know-how supplier', 'Technology provider', 'Licensor' in certain contexts) means any person or firm or company, including any member of a consortium or joint venture (that is an association of several persons, or firms or companies), every artificial juridical person not falling in any of the descriptions of bidders stated hereinbefore, including any

agency branch or office controlled by such person, participating in a procurement process.

- ii. "Bidder from a country which shares a land border with India" for the purpose of this Order means: -
- An entity incorporated, established or registered in such a country; or
 - A subsidiary of an entity incorporated, established or registered in such a country; or
 - An entity substantially controlled through entities incorporated, established or registered in such a country; or
 - An entity whose beneficial owner is situated in such a country; or
 - An Indian (or other) agent of such an entity; or
 - A natural person who is a citizen of such a country; or
 - A consortium or joint venture where any member of the consortium or joint venture falls under any of the above.

The beneficial owner for the purpose of (iii) above will be as under:

- In case of a company or Limited Liability Partnership, the beneficial owner is the natural person(s), who, whether acting alone or together, or through one or more juridical person, has a controlling ownership interest or who exercises control through other means.
Explanation
 - "Controlling ownership interest" means ownership of or entitlement to more than twenty-five percent of shares or capital or profits of the company;
 - "Control" shall include the right to appoint the majority of the directors or to control the management or policy decisions, including by virtue of their shareholding or management rights or shareholder's agreements or voting agreements;
- In case of a partnership firm, the beneficial owner is the natural person(s) who, whether acting alone or together, or through one or more juridical person, has ownership of entitlement to more than fifteen percent of capital or profits of the partnership;
- In case of an unincorporated association or body of individuals, the beneficial owner is the natural person(s), who, whether acting alone or together, or through

SAP Application System Audit at NMDC Steel Limited.

one or more juridical person, has ownership of or entitlement to more than fifteen percent of the property or capital or profits of such association or body of individuals;

4. Where no natural person is identified under (1) or (2) or (3) above, the beneficial owner is the relevant natural person who holds the position of senior managing official;
 5. In case of a trust, the identification of beneficial owner(s) shall include identification of the author of the trust, the trustee, the beneficiaries with fifteen percent or more interest in the trust and any other natural person exercising ultimate effective control over the trust through a chain of control or ownership.
- iii. "Agent" for the purpose of this Order is a person employed to do any act for another, or to represent another in dealings with third persons.
 - iv. The successful bidder shall not be allowed to sub-contract works to any Service Provider from a country which shares a land border with India unless such Service Provider is registered with the Competent Authority.
 - v. **The Bidder has to submit certificate as per proforma attached as Annexure – 13 to ITT.**

ANNEXURE-13

CERTIFICATE REGARDING COMPLIANCE

I have read the Order (Public Procurement No.1) dated 23.07.2020 issued by Department of Expenditure, Public Procurement Division and subsequent orders issued by the Nodal Ministry. In terms of the requirement of the aforesaid order, we hereby certify that:

- (a) *I have read the clause regarding restrictions on procurement from a bidder of a country which shares a land border with India; I hereby certify that this bidder is not from such a country ~~or, if from such a country, has been registered with the Competent Authority. I hereby certify that this bidder fulfils all requirements in this regard and is eligible to be considered. [Copy of valid registration by the Competent Authority shall be attached.]~~
- (b) *I have read the clause regarding restrictions on procurement from a bidder of a country which shares a land border with India and on subcontracting to Service Providers from such countries; I hereby certify that this bidder is not from such a country ~~or, if from such a country, has been registered with the Competent Authority and will not sub-contract any work to a Service Provider from such countries unless such Service Provider is registered with the Competent Authority. I hereby certify that this bidder fulfils all the requirements in this regard and is eligible to be considered. [Copy of valid registration by the Competent Authority shall be attached.]~~

Yours truly,

Date

Place

Signature.....

Name.....

Designation:

Name of Bidder:

Seal.....

*** Strikeout / non-strike out whichever is not applicable.**

SAP Application System Audit at NMDC Steel Limited.

No. P-45021/2/2017-PP (BE-II)
Government of India
Ministry of Commerce and Industry
Department for Promotion of Industry and Internal Trade
(Public Procurement Section)

Udyog Bhawan, New Delhi
Dated: 16th September, 2020

To

All Central Ministries/Departments/CPSUs/All concerned

ORDER

Subject: Public Procurement (Preference to Make in India), Order 2017– Revision; regarding.

Department for Promotion of Industry and Internal Trade, in partial modification [Paras 2, 3, 5, 10 & 13] of Order No.P-45021/2/2017-B.E.-II dated 15.6.2017 as amended by Order No.P-45021/2/2017-B.E.-II dated 28.05.2018, Order No.P-45021/2/2017-B.E.-II dated 29.05.2019 and Order No.P-45021/2/2017-B.E.-II dated 04.06.2020, hereby issues the revised 'Public Procurement (Preference to Make in India), Order 2017' dated 16.09.2020 effective with immediate effect.

Whereas it is the policy of the Government of India to encourage 'Make in India' and promote manufacturing and production of goods and services in India with a view to enhancing income and employment, and

Whereas procurement by the Government is substantial in amount and can contribute towards this policy objective, and

Whereas local content can be increased through partnerships, cooperation with local companies, establishing production units in India or Joint Ventures (JV) with Indian suppliers, increasing the participation of local employees in services and training them,

Now therefore the following Order is issued:

1. This Order is issued pursuant to Rule 153 (iii) of the General Financial Rules 2017.
2. **Definitions:** For the purposes of this Order:

'Local content' means the amount of value added in India which shall, unless otherwise prescribed by the Nodal Ministry, be the total value of the item procured (excluding net domestic indirect taxes) minus the value of imported content in the item (including all customs duties) as a proportion of the total value, in percent.

'Class-I local supplier' means a supplier or service provider, whose goods, services or works offered for procurement, meets the minimum local content as prescribed for 'Class-I local supplier' under this Order.

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- 2 -

'Class-II local supplier' means a supplier or service provider, whose goods, services or works offered for procurement, meets the minimum local content as prescribed for 'Class-II local supplier' but less than that prescribed for 'Class-I local supplier' under this Order.

'Non - Local supplier' means a supplier or service provider, whose goods, services or works offered for procurement, has local content less than that prescribed for 'Class-II local supplier' under this Order.

'L1' means the lowest tender or lowest bid or the lowest quotation received in a tender, bidding process or other procurement solicitation as adjudged in the evaluation process as per the tender or other procurement solicitation.

'Margin of purchase preference' means the maximum extent to which the price quoted by a "Class-I local supplier" may be above the L1 for the purpose of purchase preference.

'Nodal Ministry' means the Ministry or Department identified pursuant to this order in respect of a particular item of goods or services or works.

'Procuring entity' means a Ministry or department or attached or subordinate office of, or autonomous body controlled by, the Government of India and includes Government companies as defined in the Companies Act.

'Works' means all works as per Rule 130 of GFR- 2017, and will also include 'turnkey works'.

3. Eligibility of 'Class-I local supplier' / 'Class-II local supplier' / 'Non-local suppliers' for different types of procurement

(a) In procurement of all goods, services or works in respect of which the Nodal Ministry / Department has communicated that there is sufficient local capacity and local competition, only 'Class-I local supplier', as defined under the Order, shall be eligible to bid irrespective of purchase value.

(b) Only 'Class-I local supplier' and 'Class-II local supplier', as defined under the Order, shall be eligible to bid in procurements undertaken by procuring entities, except when Global tender enquiry has been issued. In global tender enquiries, 'Non-local suppliers' shall also be eligible to bid along with 'Class-I local suppliers' and 'Class-II local suppliers'. In procurement of all goods, services or works, not covered by sub-para 3(a) above, and with estimated value of purchases less than Rs. 200 Crore, in accordance with Rule 161(iv) of GFR, 2017, Global tender enquiry shall not be issued except with the approval of competent authority as designated by Department of Expenditure.

(c) For the purpose of this Order, works includes Engineering, Procurement and Construction (EPC) contracts and services include System Integrator (SI) contracts.

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- 3 -

3A. Purchase Preference

(a) Subject to the provisions of this Order and to any specific instructions issued by the Nodal Ministry or in pursuance of this Order, purchase preference shall be given to 'Class-I local supplier' in procurements undertaken by procuring entities in the manner specified here under.

(b) In the procurements of goods or works, which are covered by para 3(b) above and which are divisible in nature, the 'Class-I local supplier' shall get purchase preference over 'Class-II local supplier' as well as 'Non-local supplier', as per following procedure:

- i. Among all qualified bids, the lowest bid will be termed as L1. If L1 is 'Class-I local supplier', the contract for full quantity will be awarded to L1.
- ii. If L1 bid is not a 'Class-I local supplier', 50% of the order quantity shall be awarded to L1. Thereafter, the lowest bidder among the 'Class-I local supplier' will be invited to match the L1 price for the remaining 50% quantity subject to the Class-I local supplier's quoted price falling within the margin of purchase preference, and contract for that quantity shall be awarded to such 'Class-I local supplier' subject to matching the L1 price. In case such lowest eligible 'Class-I local supplier' fails to match the L1 price or accepts less than the offered quantity, the next higher 'Class-I local supplier' within the margin of purchase preference shall be invited to match the L1 price for remaining quantity and so on, and contract shall be awarded accordingly. In case some quantity is still left uncovered on Class-I local suppliers, then such balance quantity may also be ordered on the L1 bidder.

(c) In the procurements of goods or works, which are covered by para 3(b) above and which are not divisible in nature, and in procurement of services where the bid is evaluated on price alone, the 'Class-I local supplier' shall get purchase preference over 'Class-II local supplier' as well as 'Non-local supplier', as per following procedure:

- i. Among all qualified bids, the lowest bid will be termed as L1. If L1 is 'Class-I local supplier', the contract will be awarded to L1.
- ii. If L1 is not 'Class-I local supplier', the lowest bidder among the 'Class-I local supplier', will be invited to match the L1 price subject to Class-I local supplier's quoted price falling within the margin of purchase preference, and the contract shall be awarded to such 'Class-I local supplier' subject to matching the L1 price.
- iii. In case such lowest eligible 'Class-I local supplier' fails to match the L1 price, the 'Class-I local supplier' with the next higher bid within the margin of purchase preference shall be invited to match the L1 price and so on and contract shall be awarded accordingly. In case none of the 'Class-I local supplier' within the margin of purchase preference matches the L1 price, the contract may be awarded to the L1 bidder.

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SAP Application System Audit at NMDC Steel Limited.

- 4 -

- (d) "Class-II local supplier" will not get purchase preference in any procurement, undertaken by procuring entities.

3B. Applicability in tenders where contract is to be awarded to multiple bidders -
In tenders where contract is awarded to multiple bidders subject to matching of L1 rates or otherwise, the 'Class-I local supplier' shall get purchase preference over 'Class-II local supplier' as well as 'Non-local supplier', as per following procedure:

- a) In case there is sufficient local capacity and competition for the item to be procured, as notified by the nodal Ministry, only Class I local suppliers shall be eligible to bid. As such, the multiple suppliers, who would be awarded the contract, should be all and only 'Class I Local suppliers'.
 - b) In other cases, 'Class II local suppliers' and 'Non local suppliers' may also participate in the bidding process along with 'Class I Local suppliers' as per provisions of this Order.
 - c) If 'Class I Local suppliers' qualify for award of contract for at least 50% of the tendered quantity in any tender, the contract may be awarded to all the qualified bidders as per award criteria stipulated in the bid documents. However, in case 'Class I Local suppliers' do not qualify for award of contract for at least 50% of the tendered quantity, purchase preference should be given to the 'Class I local supplier' over 'Class II local suppliers'/'Non local suppliers' provided that their quoted rate falls within 20% margin of purchase preference of the highest quoted bidder considered for award of contract so as to ensure that the 'Class I Local suppliers' taken in totality are considered for award of contract for at least 50% of the tendered quantity.
 - d) First purchase preference has to be given to the lowest quoting 'Class-I local supplier', whose quoted rates fall within 20% margin of purchase preference, subject to its meeting the prescribed criteria for award of contract as also the constraint of maximum quantity that can be sourced from any single supplier. If the lowest quoting 'Class-I local supplier', does not qualify for purchase preference because of aforesaid constraints or does not accept the offered quantity, an opportunity may be given to next higher 'Class-I local supplier', falling within 20% margin of purchase preference, and so on.
 - e) To avoid any ambiguity during bid evaluation process, the procuring entities may stipulate its own tender specific criteria for award of contract amongst different bidders including the procedure for purchase preference to 'Class-I local supplier' within the broad policy guidelines stipulated in sub-paras above.
4. **Exemption of small purchases:** Notwithstanding anything contained in paragraph 3, procurements where the estimated value to be procured is less than Rs. 5 lakhs shall be exempt from this Order. However, it shall be ensured by procuring entities that procurement is not split for the purpose of avoiding the provisions of this Order.
5. **Minimum local content:** The 'local content' requirement to categorize a supplier as 'Class-I local supplier' is minimum 50%. For 'Class-II local supplier', the 'local content' requirement is minimum 20%. Nodal Ministry/ Department may prescribe only a higher

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SAP Application System Audit at NMDC Steel Limited.

- 5 -

percentage of minimum local content requirement to categorize a supplier as 'Class-I local supplier'/'Class-II local supplier'. For the items, for which Nodal Ministry/ Department has not prescribed higher minimum local content notification under the Order, it shall be 50% and 20% for 'Class-I local supplier'/'Class-II local supplier' respectively.

6. **Margin of Purchase Preference:** The margin of purchase preference shall be 20%.
7. **Requirement for specification in advance:** The minimum local content, the margin of purchase preference and the procedure for preference to Make in India shall be specified in the notice inviting tenders or other form of procurement solicitation and shall not be varied during a particular procurement transaction.
8. **Government E-marketplace:** In respect of procurement through the Government E-marketplace (GeM) shall, as far as possible, specifically mark the items which meet the minimum local content while registering the item for display, and shall, wherever feasible, make provision for automated comparison with purchase preference and without purchase preference and for obtaining consent of the local supplier in those cases where purchase preference is to be exercised.
9. **Verification of local content:**
 - a. The 'Class-I local supplier'/'Class-II local supplier' at the time of tender, bidding or solicitation shall be required to indicate percentage of local content and provide self-certification that the item offered meets the local content requirement for 'Class-I local supplier'/'Class-II local supplier', as the case may be. They shall also give details of the location(s) at which the local value addition is made.
 - b. In cases of procurement for a value in excess of Rs. 10 crores, the 'Class-I local supplier'/'Class-II local supplier' shall be required to provide a certificate from the statutory auditor or cost auditor of the company (in the case of companies) or from a practicing cost accountant or practicing chartered accountant (in respect of suppliers other than companies) giving the percentage of local content.
 - c. Decisions on complaints relating to implementation of this Order shall be taken by the competent authority which is empowered to look into procurement-related complaints relating to the procuring entity.
 - d. Nodal Ministries may constitute committees with internal and external experts for independent verification of self-declarations and auditor's/ accountant's certificates on random basis and in the case of complaints.
 - e. Nodal Ministries and procuring entities may prescribe fees for such complaints.
 - f. False declarations will be in breach of the Code of Integrity under Rule 175(1)(i)(h) of the General Financial Rules for which a bidder or its successors can be debarred for up to two years as per Rule 151 (iii) of the General Financial Rules along with such other actions as may be permissible under law.

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SAP Application System Audit at NMDC Steel Limited.

- 6 -

- g. A supplier who has been debarred by any procuring entity for violation of this Order shall not be eligible for preference under this Order for procurement by any other procuring entity for the duration of the debarment. The debarment for such other procuring entities shall take effect prospectively from the date on which it comes to the notice of other procurement entities, in the manner prescribed under paragraph 9h below.
- h. The Department of Expenditure shall issue suitable instructions for the effective and smooth operation of this process, so that:
 - i. The fact and duration of debarment for violation of this Order by any procuring entity are promptly brought to the notice of the Member-Convenor of the Standing Committee and the Department of Expenditure through the concerned Ministry /Department or in some other manner;
 - ii. on a periodical basis such cases are consolidated and a centralized list or decentralized lists of such suppliers with the period of debarment is maintained and displayed on website(s);
 - iii. in respect of procuring entities other than the one which has carried out the debarment, the debarment takes effect prospectively from the date of uploading on the website(s) in the such a manner that ongoing procurements are not disrupted.

10. Specifications in Tenders and other procurement solicitations:

- a. Every procuring entity shall ensure that the eligibility conditions in respect of previous experience fixed in any tender or solicitation do not require proof of supply in other countries or proof of exports.
- b. Procuring entities shall endeavour to see that eligibility conditions, including on matters like turnover, production capability and financial strength do not result in unreasonable exclusion of 'Class-I local supplier'/ 'Class-II local supplier' who would otherwise be eligible, beyond what is essential for ensuring quality or creditworthiness of the supplier.
- c. Procuring entities shall, within 2 months of the issue of this Order review all existing eligibility norms and conditions with reference to sub-paragraphs 'a' and 'b' above.

d. Reciprocity Clause

- i. When a Nodal Ministry/Department identifies that Indian suppliers of an item are not allowed to participate and/ or compete in procurement by any foreign government, due to restrictive tender conditions which have direct or indirect effect of barring Indian companies such as registration in the procuring country, execution of projects of specific value in the procuring country etc., it shall provide such details to all its procuring entities including CMDs/CEOs of PSEs/PSUs, State Governments and other procurement agencies under their administrative control and GeM for appropriate reciprocal action.

.....Contd. p/7

SAP Application System Audit at NMDC Steel Limited.

- 7 -

- ii. Entities of countries which have been identified by the nodal Ministry/Department as not allowing Indian companies to participate in their Government procurement for any item related to that nodal Ministry shall not be allowed to participate in Government procurement in India for all items related to that nodal Ministry/ Department, except for the list of items published by the Ministry/ Department permitting their participation.
 - iii. The stipulation in (ii) above shall be part of all tenders invited by the Central Government procuring entities stated in (i) above. All purchases on GeM shall also necessarily have the above provisions for items identified by nodal Ministry/ Department.
 - iv. State Governments should be encouraged to incorporate similar provisions in their respective tenders.
 - v. The term 'entity' of a country shall have the same meaning as under the FDI Policy of DPIIT as amended from time to time.
- e. Specifying foreign certifications/ unreasonable technical specifications/ brands/ models in the bid document is restrictive and discriminatory practice against local suppliers. If foreign certification is required to be stipulated because of non-availability of Indian Standards and/or for any other reason, the same shall be done only after written approval of Secretary of the Department concerned or any other Authority having been designated such power by the Secretary of the Department concerned.
- f. "All administrative Ministries/Departments whose procurement exceeds Rs. 1000 Crore per annum shall notify/ update their procurement projections every year, including those of the PSEs/PSUs, for the next 5 years on their respective website."
- 10A. Action for non-compliance of the Provisions of the Order:** In case restrictive or discriminatory conditions against domestic suppliers are included in bid documents, an inquiry shall be conducted by the Administrative Department undertaking the procurement (including procurement by any entity under its administrative control) to fix responsibility for the same. Thereafter, appropriate action, administrative or otherwise, shall be taken against erring officials of procurement entities under relevant provisions. Intimation on all such actions shall be sent to the Standing Committee.
- 11. Assessment of supply base by Nodal Ministries:** The Nodal Ministry shall keep in view the domestic manufacturing / supply base and assess the available capacity and the extent of local competition while identifying items and prescribing the higher minimum local content or the manner of its calculation, with a view to avoiding cost increase from the operation of this Order.
- 12. Increase in minimum local content:** The Nodal Ministry may annually review the local content requirements with a view to increasing them, subject to availability of sufficient local competition with adequate quality.

.....Contd. p/8

SAP Application System Audit at NMDC Steel Limited.

- 8 -

13. Manufacture under license/ technology collaboration agreements with phased indigenization: While notifying the minimum local content, Nodal Ministries may make special provisions for exempting suppliers from meeting the stipulated local content if the product is being manufactured in India under a license from a foreign manufacturer who holds intellectual property rights and where there is a technology collaboration agreement / transfer of technology agreement for indigenous manufacture of a product developed abroad with clear phasing of increase in local content.

13A. In procurement of all goods, services or works in respect of which there is substantial quantity of public procurement and for which the nodal ministry has not notified that there is sufficient local capacity and local competition, the concerned nodal ministry shall notify an upper threshold value of procurement beyond which foreign companies shall enter into a joint venture with an Indian company to participate in the tender. Procuring entities, while procuring such items beyond the notified threshold value, shall prescribe in their respective tenders that foreign companies may enter into a joint venture with an Indian company to participate in the tender. The procuring Ministries/Departments shall also make special provisions for exempting such joint ventures from meeting the stipulated minimum local content requirement, which shall be increased in a phased manner.

14. Powers to grant exemption and to reduce minimum local content: The administrative Department undertaking the procurement (including procurement by any entity under its administrative control), with the approval of their Minister-in-charge, may by written order, for reasons to be recorded in writing,

- reduce the minimum local content below the prescribed level; or
- reduce the margin of purchase preference below 20%; or
- exempt any particular item or supplying entities from the operation of this Order or any part of the Order.

A copy of every such order shall be provided to the Standing Committee and concerned Nodal Ministry / Department. The Nodal Ministry / Department concerned will continue to have the power to vary its notification on Minimum Local Content.

15. Directions to Government companies: In respect of Government companies and other procuring entities not governed by the General Financial Rules, the administrative Ministry or Department shall issue policy directions requiring compliance with this Order.

16. Standing Committee: A standing committee is hereby constituted with the following membership:

Secretary, Department for Promotion of Industry and Internal Trade—Chairman
Secretary, Commerce—Member
Secretary, Ministry of Electronics and Information Technology—Member
Joint Secretary (Public Procurement), Department of Expenditure—Member
Joint Secretary (DPIIT)—Member-Convenor

.....Contd. p/9

SAP Application System Audit at NMDC Steel Limited.

- 9 -

The Secretary of the Department concerned with a particular item shall be a member in respect of issues relating to such item. The Chairman of the Committee may co-opt technical experts as relevant to any issue or class of issues under its consideration.

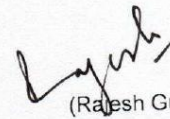
17. Functions of the Standing Committee: The Standing Committee shall meet as often as necessary, but not less than once in six months. The Committee

- shall oversee the implementation of this order and issues arising therefrom, and make recommendations to Nodal Ministries and procuring entities.
- shall annually assess and periodically monitor compliance with this Order
- shall identify Nodal Ministries and the allocation of items among them for issue of notifications on minimum local content
- may require furnishing of details or returns regarding compliance with this Order and related matters
- may, during the annual review or otherwise, assess issues, if any, where it is felt that the manner of implementation of the order results in any restrictive practices, cartelization or increase in public expenditure and suggest remedial measures
- may examine cases covered by paragraph 13 above relating to manufacture under license/ technology transfer agreements with a view to satisfying itself that adequate mechanisms exist for enforcement of such agreements and for attaining the underlying objective of progressive indigenization
- may consider any other issue relating to this Order which may arise.

18. Removal of difficulties: Ministries /Departments and the Boards of Directors of Government companies may issue such clarifications and instructions as may be necessary for the removal of any difficulties arising in the implementation of this Order.

19. Ministries having existing policies: Where any Ministry or Department has its own policy for preference to local content approved by the Cabinet after 1st January 2015, such policies will prevail over the provisions of this Order. All other existing orders on preference to local content shall be reviewed by the Nodal Ministries and revised as needed to conform to this Order, within two months of the issue of this Order.

20. Transitional provision: This Order shall not apply to any tender or procurement for which notice inviting tender or other form of procurement solicitation has been issued before the issue of this Order.



(Rakesh Gupta)
Director

Tel: 23063211

rajesh.gupta66@gov.in

SAP Application System Audit at NMDC Steel Limited.

Annexure – 15

DECLARATION ON LOCAL CONTENT Self-certification on Local Content

We have read the provisions of Public Procurement (Preference to Make in India), Order 2017 dated 15.06.2017, 28.05.2018, 29.05.2019, 04.06.2020, 16.09.2020 and subsequent orders/revisions/amendments issued by the respective Nodal Ministry. In terms of the requirement of the aforesaid provisions, we hereby declare the following:

1.0 We confirm that we are a Class-I Local Supplier / Class-II Local Supplier, and the local content included in the work is min. ____% of our total offered price for complete scope of work for Tender Enquiry No. _____ dated _____.

2.0 Further, we hereby confirm the following:

(i)	Whether the bidder is presently debarred / banned by any other procuring entity for violation of 'Public Procurement (Preference to Make In India), Order 2017' (PPP-MII Order) dated 15.06.2017 issued by Department of Industrial Policy and Promotion (DIPP) and its subsequent orders/amendments/revisions.	Yes / No
-----	---	----------

3.0 We agree to furnish any information as a proof of the above to your satisfaction as and when required.

Yours truly,

Date

Signature.....

Place

Name.....

Designation

Name of Bidder

Seal.....

***strike out whichever is not applicable**

3. SPECIAL CONDITIONS OF CONTRACT (SCC)

1. Definitions [GCC Clause 1]

1.1 Employer

**NMDC Steel Limited (NSL),
P.O. Nagarnar Dist. Bastar,
Chhattisgarh - 494001
Email: nslcontracts@nmdc.co.in**

1.2 Executing Authority / Engineer

The following will be furnished at the time of placement of order/ signing of contract.

HOD, Central Instrumentation
NSL

Telephone No.
E-mail:

Other stipulations remain unchanged.

1.3 Paying Authority

The following will be furnished at the time of placement of order/ signing of contract.

Head of Finance Department
NMDC Steel Limited

Telephone No.
E-mail:

1.3 Service Provider

Name:
Address:
Telephone No.
e-mail



SAP Application System Audit at NMDC Steel Limited.

Facsimile No.

1.4 Consultant

2.0 Notices [GCC Clause 4]

2.1 Employer's Address for Notice purposes

Refer SCC 1.1 for details as given herein above.

2.2 Service Provider's Address for Notice purposes

M/s. [Name and address]

Telephone No.

Facsimile No.

E-mail:



SAP Application System Audit at NMDC Steel Limited.

Letter Award of Contract (LAC/PO)

(To be executed on non-judicial stamp paper of value not less than Rs.100)

THIS CONTRACT NO _____ made this _____ Day of _____, Two Thousand at _____

BETWEEN

NMDC STEEL LIMITED, a Company incorporated under the Companies Act, 1956 and having its registered office at **NMDC IRON AND STEEL PLANT, NMDC STEEL LIMITED, NAGARNAR, DIST: BASTAR- 494001, India**, (hereinafter referred to as the "Employer") which term or expression unless excluded by or repugnant to the context or the meaning thereof, shall be deemed to include its successors and permitted assigns, **OF THE ONE PART,**

AND

M/s. _____, a Company organised and existing under the laws of _____ (Name of the Country) and having its Registered Office at _____ (hereinafter referred to as "Service Provider"), which term or expression unless excluded by or repugnant to the context or meaning thereof, shall be deemed to include its successors and permitted assigns, **OF THE OTHER PART**

AND WHEREAS

- (a).The Employer has decided to engage a Service Provider Preparation of **SAP Application System Audit at NMDC Steel Limited** (hereinafter referred to as the " Facilities "), and
- (b).The Service Provider has declared that the Service Provider has valuable and specialized knowledge and expertise for **SAP Application System Audit at NMDC Steel Limited** as detailed in enclosed Technical Specification and BOQ.
- (c) The Service Provider has obtained clarifications on technical and commercial aspects, inspected the site and surroundings of Facilities and has examined and considered all other matters, conditions and things, probable contingencies including delays, hindrances and interferences and generally all matters incidental thereto and ancillary thereof, affecting in performance of the facilities, and the Service Provider has agreed to undertake to execute the Facilities.

NOW IT IS HEREBY AGREED as follows:

Article 1. Contract Documents

1.1. Definitions (Reference GCC Clause 1)

1.2 Contract Documents (Reference GCC Clause 2)

- a) This LAC/PO and Appendices hereto
- b) Special Conditions of Contract hereto
- c) General Conditions of Contract and Annexures hereto
- d) Technical Specifications including Drawings
- e) Any other documents

1.3 Order of Precedence

In the event of any ambiguity or conflict between the Contract Documents listed above, the order of precedence shall be the order in which the Contract Documents are listed below:

- a) This LAC/PO and Appendices hereto
- b) Special Conditions of Contract hereto
- c) General Conditions of Contract and Annexures hereto
- d) Technical Specifications including Drawings

Article 2 Effective Date

Effective Date of Contract is ----- (within 2 (Two) months from the award of the contract).

Article 3 Scope of Work

The Contract is for the execution of Scope of Work as specified in the Appendix - 3 and GCC Clause 3 as per terms and conditions of this LAC/PO. The scope of services shall also include any and all work, supplies and services as described in Technical Specification.

The Contractor shall also execute all such works which, in the opinion of the Employer, are required to be executed for the successful completion of the work. All such works shall be deemed to have been included in the original scope of the tender.

Article 4 Contract Period

The tenure of this service contract shall be for a period of 2 months from the date of issue of LOA/PO

Article 5 Contract Price

5.1 Total Contract Price (Reference Appendix-1)

The Employer hereby agrees to pay to the Service Provider the Total Contract Price in consideration of the completion of the services and performance by the Service Provider of its obligations under the Contract and in accordance with the Contract. The Contract Price shall be: **[amount in local currency in words], [amount in figures]**, or such other

SAP Application System Audit at NMDC Steel Limited.

sums as may be determined in accordance with the terms and conditions of the Contract as indicated in the price schedule.

The Employer hereby agrees to pay to the Service Provider the Contract Price in consideration of the performance by the Service Provider of its obligations.

Article 6 Terms of Payment - Reference Appendix-2

Article 7 Void

Article 8 Liquidated Damages

In case the contract fails to deliver entire scope of work successfully within the period of completion as stipulate, He shall be liable to pay to the NSL, as liquidated damages not as penalty, a sum @ rate of 0.5% (half percentage) of the total contract value of the work (as awarded) for every week for part thereof which shall be elapsed between the scheduled time of completion of work. PROVIDED ALWAYS that the total amount of such liquidated damages for delay to be paid under this condition shall not exceed 10% (Ten percentage) of the total contract value as awarded.

The NSL may, without prejudice to any other method of recovery, deduct the amount of such damages from any money in hands, due, or which may become due to the vendor under the contract or any other contract between the contract and the NSL. The payment or deduction of such damages shall not relieve the vendor of his obligation to complete the work or any other office obligation and liability under the contract.

Article 9 Conciliation and Arbitration

Conciliation and Arbitration shall be as per GCC.

Article 10 Liability of Govt. of India

It is expressly understood and agreed between the Service Provider and the Employer that the Employer is entering into this Agreement solely on its own behalf and not on behalf of any other person or entity. In particular, it is expressly understood and agreed that the Govt. of India is not a party to this Agreement and has no liabilities, obligations or rights hereunder. It is expressly understood and agreed that the Employer is an independent legal entity with power and authority to enter into Contracts solely on its own behalf under the applicable laws of India and general principles of Contract Law. The Service Provider expressly agrees, acknowledges and understands that the Employer is not an agent, representative or delegate of the Govt. of India. It is further understood and agreed that the Govt. of India is not and shall not be liable for any acts, omissions, commissions, breaches or other wrongs arising out of the Contract. Accordingly, the Service Provider hereby, expressly waives, releases and foregoes any and all actions or claims, including cross claims, impleader claims or counter claims against the Govt. of

SAP Application System Audit at NMDC Steel Limited.

India arising out of this contract and covenants not to sue the Govt. of India as to any manner, claim, and cause of action or thing whatsoever arising of or under this Contract.

Article 11 Appendix

The following Appendices shall be deemed to form an integral part of this LAC/PO. Reference in the Contract to any Appendix shall mean the Appendices attached hereto, and the Contract shall be read and construed accordingly.

- a) Preamble to Price Schedule including price schedule: Appendix – 1
- b) Terms of Payment: Appendix – 2
- c) Scope of work: Appendix - 3

Article 12 Validity of modification

No modifications of this Contract including Appendices hereto, shall be valid unless the same is agreed to in writing by the parties and issued as amendments to the Contract.

~~Article 13 — This Contract is signed in English language in two (2) originals, the Employer receiving one duly signed original and the Service Provider receiving one duly signed original. Both the originals are authentic. The Service Provider shall be required to provide Four (4) copies of signed contract agreement for Employer's use and one soft copy.~~

~~IN WITNESS WHEREOF, the Employer and the Service Provider have caused this Agreement to be duly executed by their duly authorised representatives the day and year first above written.~~

~~Signed by for and on behalf of the
Service Provider~~

~~-(Service Provider)~~

~~_____
[Signature]~~

~~_____
[Designation]~~

~~In the presence of__~~

~~1)~~

~~Signed by for and on behalf of the
Employer~~

~~NMDC STEEL LIMITED
(Employer)~~

~~_____
[Signature]~~

~~_____
[Designation]~~

~~In the presence of__~~

~~1)~~

[Signature& Designation]

[Signature& Designation]

Appendix -1- PREAMBLE TO PRICE SCHEDULE

PRICE BASIS

1.1 Study of tender documents and visits to site:

Tenderer(s) should study the tender documents carefully before quoting. The Tenderer(s) should visit the site and acquaint themselves with site conditions. The Tenderer(s) are also expected to know about the availability of water, power, approach road cum construction materials, as per our specifications and any/all other ancillary facilities since these are to be provided / arranged by the Tenderer(s) (unless otherwise specified) at their cost to execute the works. All these factors must be taken into account.

- 1.2 The Tenderers may be required to explain/ justify the basis of their quoted price as and when asked for. In case, any Tenderer fails to justify his quoted price or refuse to co-operate in this regard, such Tenderer will not be considered for participating in the re-tendering, if the contract is not finalized from the present bidding.

- 1.3 Contractor's rate for any item of work in the schedule shall be deemed to include cost of all materials including wastage, loading, transportation and handling, unloading, labor, tools and plant, fuel consumable, erecting and removal of scaffolding and other temporary works, all incidentals such as setting out, site drainage, offering samples for approval, cost of all tests including soil test for establishing Bearing Capacity etc., rectification of all defects, replacement of defective material and work, removal of debris etc., interruption of work required to accommodate the work of other agencies working in that area, site clearance before, during and after completion of work and maintenance of completed works during period of maintenance, providing facilities for inspection of existing structures etc.

The rates for all items shall include working at all locations and levels and for all necessary leads and lifts.

- 1.4 Any damage caused to existing facilities while carrying out the work shall be made good by the contractor to entire satisfaction at his own risk and cost. During execution of work if it is found necessary, to dismantle any facilities to facilitate the movement of materials and equipment, the same shall be made good at the contractor's own cost after completion of work.

- 2.0 Price shall be evaluated on the total quoted price

SAP Application System Audit at NMDC Steel Limited.

- 3.0 Party shall have to visit the site, study the system in detail & understand the system in totality before submitting the tender & quote accordingly.
- 4.0 The contractor shall be entirely responsible for executing the work covered in the scope of work in a proper and expeditious manner as per time schedule, formats & instruction of the concerned in-charge.
- 5.0 Record keeping and maintenance schedule forms, logbooks, other maintenance, records on daily basis, collection of above documents including its printing is contractor's responsibility.
- 6.0 The contractor shall have to give a declaration about the detail Bio data, educational qualification, work experience, years of experience in the relevant field, category wise payment details & date of payment of salary in each month of the workmen within a month of award of work.
- 7.0 Contractor should comply with all statutory requirements like labor license, Insurance, PF, ESCI& others.
- 8.0 Discipline, attitude & behavior of work force.
In any of these above areas if the performance of the contractor is not satisfactory or if there is any hindrance, loss in production because of above or damage to the equipment because of the above. In such instance, NISP will empower to deploy its men & material to carry out the operation & maintenance job at the risk & cost of contractor.
- 9.0 Decision of NISP regarding the performance of the contractor is final & binding for the application of penalty.
- 10.0 The contractor has to furnish contact Telephone number & contact place for passing the information.
- 11.0 The conveyance for workmen to reach the duty post/site with tools & tackles shall have to arrange by the Contractor.

Price Schedule - Price Format shall be as per format enclosed herewith as Annexure to Appendix-1

SAP Application System Audit at NMDC Steel Limited.

ANNEXURE TO APPENDIX 1: PRICE SCHEDULE

Name of the Bidder: M/s. Sagar & Associates		
Tender Enquiry No.: NSL/CONTRACTS/SAP/8819/2026/978		Dated: 23.05.2026
SL. NO.	DESCRIPTION	BIDDERS QUOTED PRICE
1	SAP Application System Audit at NMDC Steel Limited	
2	GST amount@18% on the quoted price	
3	Total price	

Note:

1.	The above price is strictly as per detail scope of work mentioned in Appendix - 3 and is inclusive of all duties & taxes and GST and shall be considered for evaluation.
2.	Price shall be quoted strictly as per above format and any deviation there from will make the bid liable for rejection.

Appendix -2 PAYEMENT TERMS

3.1 Payment Terms shall be as follows:

- a. In accordance with the provisions of the contract, the Employer shall pay the contractor for the scope of services detailed under Technical Specification (TS), on the basis of the price given in the price schedule.
- b. No advance payment will be made.
- c. Payment shall be done against certification of engineer in charge for utilization.
- d. Payment shall not be made for the period/hours where in equipment is down or operator is not available on pro rata basis.
- e. Taxes and duties shall be released along with pro-rata payments on submission of requisite documents.
- f. 100% payment after completion entire scope of work within 30 days from the date submission of invoice.

Documents to be submitted:

1. Details tax invoice.
 2. Certificate from DGM(MP)-ERP/authorized person stating the work done and report submitted is satisfactorily.
- g. The Invoice for the services shall separately indicate the Goods and Service Tax claimed by the Contractor along with their relevant Goods and Service Tax Identification Number (GSTIN) obtained by the Contractor.
 - h. The Contractor shall prepare and submit to the Employer an invoice at the end of each month, with all documents supporting its calculations for the preceding month. However, for payment for the last month of the O & M period, the Contractor shall furnish a “No Objection Certificate” also from the Engineer.”
 - i. Payment against the invoice cum bill shall be made after recovery of Liquidated Damages (LD) / penalty, if any.

1.2 Income Tax

- 1.2.1 Any Indian Income Tax Which Employer may be required to deduct by law or statute, shall be deducted at the source under relevant Chapter of Income Tax Act and the same shall be paid to Income Tax Authorities on account of the Contractor. Employer shall provide the Contractor a certificate for such deduction of Tax. The Contractor shall indicate their Permanent Account Number with the relevant Income Tax Authority to Employer. Contractors shall

SAP Application System Audit at NMDC Steel Limited.

maintain books of account and shall get the account audited as per relevant Section of Income Tax Act.

If the Contractor is exempted from the deduction /recovery of Income Tax, no such recovery shall be made by Employer. Contractor shall furnish valid exemption Certificate issued by Income Tax Department to this effect.

- 1.2.2 Goods and Services Tax payments shall be made at actuals against requisite documents i.e., invoice-wise; however, the Contractor's invoices shall bear their relevant Goods and services Tax Identification number.
- 1.2.3 Payment to Contractor shall be made on completion of work. The Contractor shall raise invoice in triplicate enclosing certificate from Engineer-in-charge for Monthly performance of work, Levy of LD & Penalty, if any. The Monthly bills shall be paid to Contractor subject to deductions of LD, if any and all other Statutory Deductions viz. Income Tax, Workmen 's Compensation etc. if any shall be made from Contractor Bills as per Rules/Regulations/ Acts in force. GST TDS, if any will be deducted from the date of notification at applicable rate.
- 1.2.4 The contractor shall also submit any other document required by the employer in compliance with GST Act and rules made there under. In case, the contractor fails to submit the required document, the amount of GST paid on such jobs shall be recovered by Employer unless the Contractor furnishes proper justification.
- 1.2.5 The payment to the Contractor shall be released within thirty (30) days from the date of receipt of the complete and correct invoices & relevant documents.
- 1.2.6 All interim / progress payments shall be regarded as payments by way of advance against the final payment only and not as payment for work completed and shall not preclude defective / imperfect / incomplete Facilities / services to be removed / rectified. It will not be considered as an admission by the Employer of the due performance of the Contract, or any part thereof by the Contractor nor shall it preclude, determine or affect in any way the powers of the Employer under these conditions or in any way vary or affect the Contract.

Appendix-3 - Scope of Work

The Scope of Work includes all activities relating to SAP System Audit & Audit Trails as per the best practices in the ERP environment but is not limited to the following:

I. Review of Transactions, Workflow and Configuration Control settings concerning all the functionalities implemented. The list of Modules implemented are listed hereunder:

1. Finance & Controlling (FICO)

SAP Application System Audit at NMDC Steel Limited.

2. Materials Management (MM) including Supplier Relationship Management (SRM)
3. Production Planning (PP)
4. Plant Maintenance (PM)
5. Human Capital Management (HCM) / Employee Self Service (ESS) / Management Self Service (MSS)
6. Project System (PS)
7. Sales & Distribution (SD)
8. Quality Management (QM)
9. Environment, Health & Safety (EHS)
10. Advanced Business Application Programming (ABAP)
11. Business Application Systems Integrated Solution (BASIS)
12. Manufacturing Integration Intelligence (MII)
13. File Lifecycle Management (FLM), Fiori Apps, Management Dashboards, Non-SAP Portals (Python based Portal like MDM, E-Measurement Book, E-Hindrance Register (not implemented) etc. developed in-house)

II. The indicative list of activities to be carried out as part of the business process review:

1. Review of organization structure and Policies mapped in SAP for transaction capture, validation of compliance with the accounting policies of the Company along with statutory compliances like GST, Income Tax etc. and reporting
2. Review of Internal Controls within Business Processes as configured during the implementation
3. Review of usage of Standard SAP Functionality as required in each case
4. Review to identify implementation of 'Best Practices' in the Business Processes in SAP
5. Review to identify changes required in the current level of implementation and additional implementation requirements to enhance the effective usage of SAP.
6. Review the list of customizations along with third-party solutions integrated with SAP and confirm whether there are any unreported customizations including change management.
7. Analyze whether, there are avoidable duplication, complexity and redundancy in the system.

III. Review of authorizations and segregation of duties in SAP

1. Review of access rights to critical business transactions
2. Review of select transaction combinations that cause conflicts in the segregation of Duties to ensure no single user can perform a process end-to-end or perform conflicting transactions.

3. Review of access rights of Super-Users and Critical SAP-Delivered Roles and Profiles

IV. Review of SAP Security

1. Review of System Security Parameters
2. Review of sensitive/high-risk Basis (system administration) functions and transactions, access restrictions.
3. Review of (both header level & item level) changes made in standard tables and critical tables in SAP modules and authorizations for such changes.
4. Review of period locks authorizations given in SAP and whether period locks being followed as per the internal control policy and approvals for such changes and along with testing, whether SAP restricts posting back dated transactions.

V. SAP Technical Audit

1. System performance.
2. Obsolescence.
3. Evaluation of Back-up Management.

VI. AUDIT TRAIL:

1. Assess Management Approach to identify the records and transactions that constitute books of account under section 2(13) of the Companies Act 2013 and identification of Accounting Software which have been considered for the purposes of maintenance of Audit Trail.
2. Review and assess the Software's used for processing and or storing data for creation and maintenance of financial information
3. Verify whether:
 - a. The Audit Trail has been configured and enabled for the identified accounting software and all transactions recorded in software are covered under Audit Trail
 - b. The Audit Trail captures changes to every transaction of books of account information that needs to be captured may include the following:
 - a. When changes were made.
 - b. Who made those changes.
 - c. What data was changed
- c. The Audit Trail feature is always enabled (not disabled) throughout the period of reporting year at database level and application level.
- d. The Audit Trail is enabled at the database level and application level (if applicable) for logging any direct data changes (suggest the list of databases where the Audit Trail needs to be enabled as per best practices of SAP environment and recommendations of SAP)

SAP Application System Audit at NMDC Steel Limited.

- e. The Audit Trail is appropriately protected from any modification and should be protected from tempering at both database level and application level. Review the controls and identify the risk by detailed testing of the above.

VII. SAP cloud service provider M/s Webworks:

- a. Review of Signed AMC Agreement and Non-Disclosure Agreements entered by NSL with Service Provider (Mumbai) and changes for improvements.
- b. Security Controls w.r.t the NSL's data maintained by the Vendor.
- c. Evidence of maintaining daily data backup (Report) as required under the Rule 3(5) of Companies (Accounts) Rules, 2014 (as amended)
- d. Review and analysis for identification of risks as may be reported by the Service Auditor in **SOC 1 (Type 1 report)** - Report on the description and design of **controls** at a service organization (As per SA-402 - Audit Considerations Relating to an Entity Using a Service Organization)
- e. Review and analysis for identification of risks as may be reported by the Service Auditor in **SOC 1 (Type 2 Report)** - Report on the description, design, and **operating effectiveness of controls** at a service organisation in SAP.
- f. **SOC 2 Reports** for - Controls related to security, availability, processing integrity, confidentiality, and Privacy of the data in SAP.

5.GENERAL CONDITIONS OF CONTRACT (GCC)

1 DEFINITIONS

SAP Application System Audit at NMDC Steel Limited.

The following words and expressions shall, unless repugnant to the context, have the meanings hereby assigned to them:

“Contract” means the ~~Contract Agreement~~ entered into between the Employer and the Contractor, together with the Contract Documents referred to therein; they shall constitute the Contract, and the term “the Contract” shall in all such documents be construed accordingly.

“Contract Documents” means the documents of the ~~Contract Agreement~~ (including any amendments thereto).

“GCC” means the General Conditions of Contract hereof.

“SCC” means the Special Conditions of Contract.

“Technical Specifications/Contract Technical Specification” mean the technical specifications, schedules, detailed designs, statements of technical data, performance characteristics value and all other particulars of the Contract.

“GTS” means the General Technical Specifications.

“Day” means calendar day of the Gregorian Calendar.

“Month” means calendar month of the Gregorian Calendar.

“Employer / Owner” means NMDC STEEL LIMITED and includes the legal successors or permitted assigns of the Employer.

“Engineer” / “Engineer-in-Charge” means the person appointed by the Employer in the manner and to perform the duties delegated by the Employer.

“Contractor” means the person(s) whose bid to perform the Contract has been accepted by the Employer and is named as such in the ~~Contract Agreement~~, and includes the legal successors or permitted assigns of the Contractor. In case the Contract is with Consortium of two or more members then the Contractor shall mean one or more members of Consortium as the case may be.

“Contractor’s Representative” means any person nominated by the Contractor and approved by the Employer in the manner provided herein to perform the duties delegated by the Contractor. For site work Contractor’s Representative shall also mean the representative of Sub-Contractors and Sub-Contractor’s Sub-Contractors.

“Sub-Contractor”, including vendors, means any person to whom execution of any part of the Facilities, including preparation of any design or supply of any Plant and

SAP Application System Audit at NMDC Steel Limited.

Equipment, is sub-Contracted directly or indirectly by the Contractor, and includes its legal successors or permitted assigns.

“Contract Price” means the sum specified in Appendix-1 of the LAC, subject to such additions and adjustments thereto or deductions therefrom, as may be made pursuant to the Contract.

“Facilities”/ “Works” mean the work specified in the Technical Specification, BoQ including General Technical Specification (if any).

“Site” means the land and other places upon which the Facilities are to be installed, and such other land or places as may be specified in the Contract as forming part of the Site.

“Effective Date” of Contract: 2 Months from the date of issue of LAC is the effective date of contract.

“Contract Period” means the time specified for Services.

“Tenderer/Bidder” shall mean a person/firm or company who submits his bid/offer in response to the Notice Inviting Tenders of the Employer and shall include his heirs, legal representatives, successors and permitted assignees.

“Inspector” / “Inspecting Engineer” shall mean any person or firm nominated by or on behalf of the Employer or his duly authorised agent to inspect equipment, materials, supplies or work under the Contract.

“OEM” means Original Equipment Manufacturer.

“NSL” Means NMDC Steel limited.

The “EIC” shall mean the Engineer-In-charge designated as such by NSL.

2 CONTRACT DOCUMENTS

Subject to Article 1.3 (Order of Precedence) of the ~~Contract Agreement~~, all documents forming part of the Contract (and parts thereof) are intended to be correlative, complementary and mutually explanatory. The Contract shall be read as a whole.

3 SCOPE OF WORK

In consideration of payments of Total Contract Price as specified in the Contract, subject to other provisions of the Contract, to be made by the Employer, the scope of

SAP Application System Audit at NMDC Steel Limited.

the Contractor shall be, as included under the Contract and other documents referred and annexed thereto and Appendix – 3.

Unless otherwise expressly limited and/or excluded elsewhere in the Contract from the scope, the Contractor's scope under the Contract shall be including but not limited to as stipulated in the Technical Specification.

4 TERMS OF PAYMENT

All payments shall be made as specified in special conditions of the contract directly by the Employer to the Contractor unless otherwise provided in the Contract or agreed between the Parties.

If as per provisions of Contract any payment is made directly by the Employer to the Sub-Contractors, such payments shall constitute a proper discharge of Employer's obligations for such payments to the Contractor

5 TAXES & DUTIES

Except as otherwise specifically provided in the Contract, the Contractor shall bear and pay all taxes, duties, levies and charges assessed on the Contractor, his Sub-Contractors or their employees by Municipal, State or Central Government Authorities. The Contract Price shall comprise basic price, any other duties, taxes and levies, prevailing on base date of the Contract. Goods and Service Tax thereon shall be payable extra at actuals against documentary evidence (Tax Invoice), however, rate and amount of the same shall be quoted by the bidder.

In no case the reimbursement towards duties and taxes, etc., shall exceed the amount indicated in Annexure to Appendix 1 towards duties, taxes, levies, etc. except for statutory variation in taxes and duties and/or imposition of new statutory taxes and duties occurring during contractual Time for Completion. However, Goods and Service Tax thereon shall be payable extra at actuals against documentary evidence (Tax Invoice) as mentioned above

GST TDS, if any, which Employer may be required to deduct by law/statute/regulation shall be deducted at source and shall be paid to the Government on account of the Contractor.

Any Indian Income Tax Which Employer may be required to deduct by law or statute shall be deducted at the source and the same shall be paid to Income Tax Authorities on account of the Contractor. Employer shall provide the Contractor a certificate for such deduction of Tax. The Contractor shall indicate their Permanent Account Number with the relevant Income Tax Authority to Employer.

The Contractor shall bear and pay all the liabilities in respect of non-observance of all legal formalities as per various statutory provisions.

6 STATUTORY VARIATIONS IN TAXES & DUTIES

SAP Application System Audit at NMDC Steel Limited.

For the purpose of the Contract, it is agreed that the 'Contract Price' specified is based on the taxes, duties, levies etc. and charges prevailing on Base date. If any rate of tax is increased or decreased, a new tax is introduced applicable for the Works/ facilities under the Contract, an existing tax is abolished, or any change in interpretation or application of any tax occurs in the course of the performance of Contract, which was or will be assessed on the Contractor, Sub-Contractors in connection with performance of the Contract, an adjustment of the Contract Price shall be made by addition to the Contract Price or deduction thereof as the case may be, as appropriate in accordance with provisions of the Contract .

The adjustment in the Contract Price towards statutory variations in taxes due to increase in tax rates or enactment of new tax shall be applicable for the variations in the taxes enacted within the scheduled date of the "Time for Completion" of the Contract.

For any upward variations in taxes enacted after the scheduled date of the "Time for Completion" the adjustment in the Contract Price shall not apply in case the reasons for delay are not attributable to the Employer notwithstanding extension to the "Time for Completion" is granted. However, if the completion of the Works/ facilities is delayed due to reasons attributable to the Employer and extension to the "Time for Completion" is granted, statutory variations in taxes and duties enacted after the scheduled date of the "Time for Completion", the adjustment in the Contract Price shall be allowed up to the period within the extended "Time for Completion" of the Contract.

However, if the completion of Works/ facilities is delayed beyond scheduled date of the "Time for Completion" due to reasons attributable to both the parties, then the period for delay attributable to the Employer will be considered as initial delay and the price adjustment shall be applicable during this period as well.

Any increase/decrease in taxes and duties on account of statutory increase /decrease/fresh imposition of any duty or taxes which take place during the extended period (to the extent extension is for reasons attributable to the Employer) shall be admissible

It is further provided that, in case of abrogation of any existing tax or any downward statutory variation in any tax, the Contract Price shall be adjusted downwards irrespective of actual date of completion of Works/ facilities.

The adjustment in the Contract Price towards variation in the taxes shall be made by the Employer on production of the documentary evidences by the Contractor.

7 REPRESENTATIVES

7.1 Engineer / Engineer-in-charge

If the Engineer is not named in the Contract, then within fourteen (14) days of the Effective Date, the Employer shall notify the Contractor in writing of the name of the Engineer. The Employer may from time to time appoint some other person as the Engineer in place of the person previously so appointed, and shall give a notice of the name of such other person to the Contractor without delay. No such appointment shall be made at such a time or in such a manner as to impede the progress of work

or the Facilities. Such appointment shall only take effect upon receipt of such notice by the Contractor. The Engineer shall represent and act for the Employer at all times during the currency of the Contract. All notices, instructions, orders, certificates, approvals and all other communications under the Contract shall be given by the Engineer, except as herein otherwise provided.

7.2 Contractor's Representative

If the Contractor's Representative is not named in the Contract, then within fourteen (14) days of the Effective Date, the Service Contractor shall appoint the Contractor's Representative and shall request the Employer in writing to approve the person so appointed. If the Employer makes no objection to the appointment within fourteen (14) days, the Contractor's Representative shall be deemed to have been approved. If the Employer objects to the appointment within fourteen (14) days giving the reason therefore, then the Contractor shall appoint a replacement within fourteen (14) days of such objection.

The Contractor shall not revoke the appointment of the Contractor's Representative without the Employer's prior written consent, which shall not be unreasonably withheld. If the Employer consents thereto, the Contractor shall appoint some other person as the Contractor's Representative,

The Contractor's Representative shall represent and act for the Contractor at all times during the currency of the Contract and shall give to the Engineer all the Contractor's notices, instructions, information and all other communications under the Contract. All notices, instructions, information and all other communications given by the Employer or the Engineer to the Contractor under the Contract shall be given to the Contractor's Representative or, in his absence, his deputy, except as herein otherwise provided.

All notices, instructions, information and other communications given by the Contractor to the Employer under the Contract shall be given to the Engineer, except as herein otherwise provided.

The Contractor's Representative may, subject to the approval of the Employer (which shall not be unreasonably withheld), at any time delegate to any person any of the powers, functions and authorities vested in him or her. Any such delegation or revocation shall be subject to a prior notice signed by the Contractor's Representative, and shall specify the powers, functions and authorities thereby delegated or revoked. No such delegation or revocation shall take effect unless and until a copy thereof has been delivered to the Employer and the Engineer. Any act or exercise by any person of powers, functions and authorities so delegated to him, shall be deemed to be an act or exercise by the Contractor's Representative.

In the event any of the Contractor or his sub-Contractor, personnel, agents, sub-agents, assistants or other employees shall be guilty of any misconduct or be incompetent or insufficiently qualified or negligent in the performance of their duties or it is undesirable for any administrative reasons for such person to be deployed, the Contractor, if so directed, shall immediately remove such person or persons from

SAP Application System Audit at NMDC Steel Limited.

site. Any person or persons so removed shall not again be utilised in connection with this contract without the written permission of the Employer. Any person so removed shall immediately be replaced by a qualified and competent substitute at the Contractor's cost and expenses. Should the Contractor be requested to repatriate any person he shall do so and shall bear all costs and charges in connection therewith.

8 NEGLIGENCE

If the Contractor does not execute the Work in accordance with the time schedule stipulated in the Contract and shall neglect to execute the Work with due diligence or expedition or shall refuse or neglect to comply with any reasonable order given to the Contractor in writing by the Employer in connection with the Work or shall contravene the provisions of Contract, the Employer may give notice in writing to the Contractor to make good the failure, neglect or contravention complained of within such time as may be deemed reasonable by the Employer and in default of compliance with the said notice, the Employer without prejudice to his rights hereof, may rescind or cancel the Contract holding the Contractor fully liable for the damages that the Employer may sustain including all amounts paid to the Contractor by the Employer for all such parts of the Works which may become infructuous due to such cancellation.

Should the Contractor fail to comply with such notice within the period as mentioned in the notice or any other period considered reasonable by the Employer for such compliance, from the date of serving thereof, then and in such case, without prejudice to the Employer's right hereof, the Employer shall have at its option the right to take the affected Work wholly or in part out of the Contractor's hands and may complete the Work, as envisaged in the Contract either departmentally or by awarding fresh Contract(s) to any other person or firm or company to execute the same, at the risk and cost of the Contractor.

In such event the Employer shall, without being responsible to the Contractor for wear and tear to the same, be entitled to seize and take possession and use all materials, construction equipment, tools, tackles and other things of the Contractor which may be at the site for use at any time in connection with the Facilities to the exclusion of any right of the Contractor over the same and the Employer shall be entitled to retain and apply any sum which may otherwise be then due as per the Contract or any other Contract from the Employer to the Contractor as may be necessary for the payment of the cost of execution of such Facilities as aforesaid.

If the cost of executing the Work as aforesaid shall exceed the sum due to the Contractor and the Contractor fails to make good the deficit within the specified period, the Employer shall have the right to lien over the said materials, tools, tackles, construction plant or other things and properties of the Contractor as may not have been used up in the completion of the Work, and may be sold by the Employer after serving due notice to the Contractor and such proceeds applied towards the adjustment of such difference and the cost of incidentals to such sale. Any outstanding

balance existing after crediting the proceeds of such sale shall be paid by the Contractor on the demand of the Employer, but when all expenses, cost and charges incurred in the completion of the Facilities are paid by the Contractor, all such materials, tools, tackles, construction plant or other things not used in the completion of the Facilities and remaining unsold shall be removed by the Contractor with the written permission of the Employer.

9 CHANGES IN LAW AND REGULATIONS

If, after Effective Date of Contract, any law, regulation, ordinance, order or by-law having the force of law is enacted, promulgated, abrogated or changed (which shall be deemed to include any change in interpretation or application by the competent authorities) that subsequently affects the costs and expenses of the Contractor, the Contract Price shall be correspondingly increased or decreased.

10 NOTICES

Unless otherwise stated in the Contract, all notices to be given under the Contract shall be in writing, and shall be sent by personal delivery, post / airmail post, special courier, cable, telegraph, facsimile to the address of the relevant party set out in the Special Conditions of Contract, with the following provisions.

Any notice sent by cable, telegraph, facsimile shall be confirmed within two (2) days after dispatch by notice sent by airmail post or special courier, except as otherwise specified in the Contract.

Any notice sent by airmail post or special courier shall be deemed (in the absence of evidence of earlier receipt) to have been delivered ten (10) days after dispatch. In proving the fact of dispatch, it shall be sufficient to show that the envelope containing such notice was properly addressed, stamped and conveyed to the postal authorities or courier service for transmission by airmail or special courier.

Any notice delivered personally or sent by cable, telegraph, telex, facsimile shall be deemed to have been delivered on date of its dispatch.

Either party may change its postal, cable, facsimile address or addressee for receipt of such notices by ten (10) days' notices to the other party in writing.

Notices shall be deemed to include any approvals, consents, instructions, orders and certificates to be given under the Contract.

11 CONCILIATION AND ARBITRATION

11. SETTLEMENT OF DISPUTES:

1 Conciliation

Any disputes, differences, whatsoever, arising between the parties out of or relating to the construction, meaning, scope, operation or effect of this Contract shall be settled between the Employer and the Contractor amicably. In case, such amicable settlement is

SAP Application System Audit at NMDC Steel Limited.

not possible, the parties shall take recourse to the conciliation proceedings for resolving such dispute, question, claim or differences.

The Conciliatory Committee shall comprise of the following:

- i) A nominee of the Employer - Member (Independent of the Officer handling the case)
- ii) A nominee of Contractor/ Supplier – Member (Independent of the Officer handling the case)
- iii) Head of Law/ Law Officer of the Employer - Member & Convener

The above Committee shall conduct the conciliation proceedings in accordance with the provisions of Arbitration and Conciliation Act 1996. The venue of the Conciliation shall be at Hyderabad. The settlement so arrived at during conciliation shall be binding on both the parties and will not be called in question before any court or forum whatsoever.

57.2 Arbitration

- a) All disputes or differences which may arise between the Owner and Contractor in connection with this Contract (other than those in respect of which the decision of any person is expressed in the Contract to be final and binding) shall, after written notice by either party to the other and to the Chairman cum managing Director of the NMDC Steel Ltd. (who will be the appointing authority), be referred for adjudication to the sole Arbitrator to be appointed as hereinafter provided.
- b) The appointing authority will send within ninety days of receipt of the notice of arbitration a panel of three names of persons, not directly connected with the work, to the Contractor who will select any one of the persons named to be appointed as a sole Arbitrator within 30 days of receipt of names. If the appointing authority fails to send to the Contractor the panel of three names, as aforesaid, within the period specified, the contractor shall send to the appointing authority a panel of three names of persons who shall also be unconnected with the organization by which the work is executed. The appointing authority shall on receipt of the names as aforesaid select any one of the persons named and appoint him as the sole Arbitrator. If the appointing authority fails to select the person and appoint him as the sole Arbitrator within 30 days of receipt of the panel and inform the Contractor accordingly, the Contractor shall be entitled to invoke the provisions of the Indian Arbitration and Conciliation Act 1996 as amended from time to time.
- c) The further progress of any work under the contract shall unless otherwise directed by the Owner / Engineer continue during the arbitration proceedings and no payment due or payable by/to the Owner shall be withheld on account of such proceedings. It shall not be open to arbitrator to consider and decide whether or not such work shall continue during the arbitration proceedings.
- d) The laws applicable to the Contract shall be the laws in force in India. The Courts of Hyderabad, Telangana State shall have exclusive jurisdiction in all matters arising under this Contract.
- e) The venue of the arbitral proceedings shall be Hyderabad, Telangana State, India.
- f) The arbitral tribunal shall give reasons for its award. Each party shall bear its own cost and the cost of arbitration shall be equally borne by each party. The award

rendered in any arbitration hereunder shall be final and binding upon the parties. The parties agree that neither party shall have any right to commence or maintain any suit or legal proceeding concerning any dispute under this agreement until the dispute has been determined in accordance with the arbitration proceeding provided for herein and then only to enforce or facilitate the execution of an award rendered in such arbitration

- g) Arbitration between a Central Public Sector Undertaking of the Government of India (not under the Ministry of Steel) and the Employer shall be as per the guidelines of Ministry of Heavy Industries and Public Enterprises, Government of India.
 - h) Arbitration between a Central Public Sector Undertaking of the Government of India under the Ministry of Steel, Government of India and the Employer, shall be as per the guidelines of the Ministry of Steel.
 - i) The mechanism for settling the dispute through Arbitration shall be applicable only in cases where the disputed amount or the amount of all claims put together does not exceed 25% of the contract value or maximum of disputed claim amount shall not exceed Rs.100 crores whichever is lower. In case the disputed amount exceeds the above referred percentage of 25% of contract value or maximum value of total claim value of Rs.100 crores, the parties shall be within their rights to take recourse to remedies that may be available to them under the applicable laws other than Arbitration after the prior intimation to the other party.
 - j) Parties agree that neither party shall be entitled for any pre-reference or pendente-lite interest, i.e. date of cause of action till the date of the Award by the Arbitral Tribunal. Parties agree that claim for any such interest shall not be considered and shall be void. The Arbitral Tribunal shall have no right to award pre-reference or pendente-lite interest in the matter.
 - k) Parties further agree that following matters shall not be referred to Conciliation and Arbitration
 - a. Any claim, difference or dispute relating to, connected with or arising out of NSL's decision to initiate any proceedings for suspension or banning, or decision to suspend or to ban business dealings with the Bidder/Contractor and /or with any other person involved or connected or dealing with bid/ contract/ bidder/ contractor.
- Any claim, difference or dispute relating to, connected with or arising out of NSL's decision under the provisions of Integrity Pact executed between the NSL and the Bidder/ Contractor.

12. FORCE MAJEURE

“Force Majeure” shall mean any event beyond the control of the Employer or of the Contractor, as the case may be, and which is unavoidable notwithstanding the reasonable care of the party affected, and shall include, without limitation, the following:

- a) war, hostilities or warlike operations (whether a state of war be declared or not), invasion, act of foreign enemy and civil war.
- b) rebellion, revolution, insurrection, mutiny, usurpation of civil or military government, conspiracy, riot, civil commotion and terrorist acts.

- c) strike, sabotage, unlawful lockout, epidemics, quarantine and plague.
- d) earthquake, fire, flood or cyclone, or other natural or physical disaster

If either party is prevented, hindered or delayed from or in performing any of its obligations under the Contract by an event of Force Majeure, then it shall notify the other in writing of the occurrence of such event and the circumstances thereof within 14 days after the occurrence of such event.

The party who has given such notice shall be excused from the performance or punctual performance of its obligations under the Contract for so long as the relevant event of Force Majeure continues and to the extent that such party's performance is prevented, hindered or delayed, the time for Completion shall be extended in accordingly.

The party or parties affected by the event of Force Majeure shall use reasonable efforts to mitigate the effect thereof upon its or their performance of the Contract and to fulfil its or their obligations under the Contract, but without prejudice to either party's right to terminate the Contract.

Any delay or non-performance by either party hereto caused by the occurrence of any event of Force Majeure shall not

- (a) constitute a default or breach of the Contract
- (b) give rise to any claim for damages or additional cost or expense occasioned thereby if and to the extent that such delay or non-performance is caused by the occurrence of an event of Force Majeure.

If the performance of the Contract is substantially prevented, hindered or delayed for a period of more than ninety (90) days on account of Force Majeure during the currency of the Contract, the parties will develop a mutually satisfactory solution.

13. SUSPENSION

The Employer may, by notice to the Contractor, order the Contractor to suspend performance of any or all of its obligations under the Contract. Such notice shall specify the obligation of which performance is to be suspended, the Effective Date of the suspension and the reasons therefore. The Contractor shall thereupon suspend performance of such obligation (except those obligations necessary for the care or preservation of the Facilities) until ordered in writing to resume such performance by the Engineer.

If, by virtue of a suspension order given by the Engineer, other than by reason of the Contractor's default or breach of the Contract, the Contractor's performance of any of its obligations is suspended for an aggregate period of more than ninety (90) days, then at any time thereafter and provided that at that time such performance is still suspended, the Contractor may give a notice to the Engineer requiring that the Employer shall, within thirty(30) days of receipt of the notice, order the resumption of such performance.

If the Employer fails to do so within such period, the Contractor may, by a further notice to the Engineer, elect to treat the suspension as termination of the Contract.

If the Contractor's performance of its obligations is suspended pursuant to this Clause hereof, then the Time for Completion shall be extended in accordance with provisions of

SAP Application System Audit at NMDC Steel Limited.

the contract hereof, and any and all additional costs or expenses incurred by the Contractor as a result of such suspension shall be paid by the Employer to the Contractor in addition to Contract Price on mutually agreed basis unless such suspension is

- a. due to Force Majeure conditions as provided for in the Contract, or
- b. necessary for the proper execution of the work or by reason of weather condition or by some default on the part of the Contractor or
- c. necessary for the safety of the works or and part thereof.

Provided that the Contractor shall not be entitled to recover any such extra cost unless he gives notice in writing of his intention to claim to the Engineer within thirty (30) days of the Engineers order. The Engineer shall settle and determine the extra payment to be made to the Contractor in respect of such claim as the Engineer shall consider fair and reasonable.

During the period of suspension, the Contractor shall not remove from Site any part of the Facilities or any Contractor's equipment, without the prior written consent of the Employer.

14. TERMINATION

1.1 Termination for Employer's Convenience

1.1.1 The Employer may at any time terminate the Contract for any reason by giving the Contractor a notice of termination *that refers to this Sub-Clause of the Contract*.

1.1.2 Upon receipt of the notice of termination, under this clause, the Contractor shall either immediately or upon the date specified in the notice of termination.

- a) cease all further work, except for such work as the Employer may specify in the notice of termination for the sole purpose of protecting that part of the Facilities already executed, or any work required to leave the Site in a clean and safe condition
- b) terminate all subcontracts, except those to be assigned to the Employer pursuant to paragraph (d) (ii) below
- c) remove all Contractor's Equipment from the Site, repatriate the Contractor's and his Sub-Contractors' personnel from the Site, remove from the Site any wreckage, rubbish and debris of any kind, and leave the whole of the Site in a clean and safe condition
- d) In addition, the Contractor, shall
 - i. deliver to the Employer the parts of the Work executed by the Contractor up to the date of termination.

SAP Application System Audit at NMDC Steel Limited.

- ii. to the extent legally possible, assign to the Employer all rights, title and benefit of the Contractor to the Work as may be required by the Employer, in any subcontracts concluded between the Contractor and its SubContractors.
- iii. deliver to the Employer all drawings, specifications and other documents prepared by the Contractor or his SubContractors as at the date of termination in connection with the Facilities.

1.1.3 In the event of the termination of the Contract for Employer's convenience, the Employer shall pay to the Contractor the Price, the properly attributable to the parts of the Facilities executed by the Contractor as of the date of termination. However, no consequential damages shall be payable by the Employer to the Contractor in the event of termination.

1.2 Termination for Contractor's Default

1.2.1 The Employer, without prejudice to any other rights or remedies it may possess, may terminate the Contract forthwith in the following circumstances by giving a notice of termination and its reasons to the Contractor.

- a) if the Contractor becomes bankrupt or insolvent, has a receiving order issued against it, compounds with his creditors, or, if the Contractor is a corporation, a resolution is passed or order is made for his winding up (other than a voluntary liquidation for the purposes of amalgamation or reconstruction), a receiver is appointed over any part of his undertaking or assets, or if the Contractor takes or suffers any other analogous action in consequence of debt.
- b) if the Contractor assigns or transfers the Contract or any right or interest therein in violation of the provision of Contract.

1.2.2 If the Contractor

- a) has abandoned or repudiated the Contract
- b) has without valid reason failed to commence work on the Facilities promptly or has suspended the progress of Contract performance for more than twenty-eight (28) days after receiving a written instruction from the Employer to proceed
- c) persistently fails to execute the Contract in accordance with the Contract or persistently neglects to carry out his obligations under the Contract without just cause.
- d) refuses or is unable to provide sufficient materials, services or labour (adequate resources) to execute and complete the Facilities in the manner specified by EMPLOYER.

SAP Application System Audit at NMDC Steel Limited.

Then the Employer may, without prejudice to any other rights it may possess under the Contract, give a notice to the Contractor stating the nature of the default and requiring the Contractor to remedy the same. If the Contractor fails to remedy or to take steps to remedy the same within fourteen (14) days of its receipt of such notice, then the Employer may terminate the Contract forthwith by giving a notice of termination to the Contractor.

1.2.3 Upon receipt of the notice of termination the Contractor shall, either immediately or upon such date as is specified in the notice of termination,

- a) cease all further work, except for such work as the Employer may specify in the notice of termination for the sole purpose of protecting that part of the Facilities already executed, or any work required to leave the Site in a clean & safe condition
- b) terminate all subcontracts, except those to be assigned to the Employer pursuant to paragraph (d) below
- c) deliver to the Employer the parts of the Facilities executed by the Contractor up to the date of termination
- d) to the extent legally possible, assign to the Employer all rights, title and benefit of the Contractor to the Facilities as at the date of termination, and, as may be required by the Employer, in any subcontracts concluded between the Contractor and his Sub-Contractors.
- e) deliver to the Employer all drawings, specifications and other documents prepared by the Contractor or his Sub-Contractors as at the date of termination in connection with the Facilities.

1.2.4 The Employer may enter upon the Site, expel the Contractor, and complete the Facilities himself or by employing any third party at the risk and cost of the Contractor. The Employer may, to the exclusion of any right of the Contractor over the same, take over and use any Contractor's Equipment owned by the Contractor and on the Site in connection with the Facilities for such reasonable period as the Employer considers expedient for the supply and installation of the Work.

Upon completion of the Work or at such earlier date as the Employer considers appropriate, the Employer shall give notice to the Contractor that such Contractor's Equipment will be returned to the Contractor at or near the Site and shall return such Contractor's Equipment to the Contractor in accordance with such notice. The Contractor shall thereafter without delay and at his cost remove or arrange removal of the same from the Site.

Subject to other provisions of the Contract, the Contractor shall be entitled to be paid the Price attributable to the Part of Work executed as at the date of termination, and the costs, if any, incurred in protecting the Work and in leaving the Site in a clean and safe condition. Any sums due to the Employer from the Contractor accruing prior to the date of termination shall be deducted from the amount to be paid to the Contractor under this Contract.

SAP Application System Audit at NMDC Steel Limited.

If the Employer completes the Work the cost of completing the Work by the Employer shall be determined.

If the sum that the Contractor is entitled to be paid, the reasonable costs incurred by the Employer in completing the Work, exceeds the Contract Price, the Contractor shall be liable for such excess.

If such excess is greater than the sums due to the Contractor under, the Contractor shall pay the balance to the Employer, and if such excess is less than the sums due the Contractor the Employer shall pay the balance to the Contractor.

The Employer and the Contractor shall agree, in writing, on the computation described above and the manner in which any sums shall be paid.

15. SUB CONTRACTING

The Contractor shall not sub-contract the Contract Work in whole or part thereof to third parties for the performance of this Contract without written consent of the Employer / Consultant.

Selection of any sub-Contractor/sub-supplier by the Contractor, in respect of discharge of his contractual responsibilities and obligations shall be subject to prior approval of the Employer. However, the Contractor shall alone be responsible and liable for discharge of his obligations and responsibilities including that of his sub-Contractor(s) and sub-supplier(s) in terms of the Contract. The Contractor shall remain solely liable for any action, deficiency, and/or negligence on the part of his sub-Contractors, his agent, and his workmen as fully as if they were the acts, defaults or neglects of the Contractor.

The Contractor and/or his sub-Contractor/sub-suppliers shall be under contractual obligations to submit any such information/document including but not limited to inspection / Test reports of materials to be incorporated and / or incorporated in the works, to the Employer for his approval/review/perusal, which the Employer may consider it deemed necessary in respect of discharge of contractual obligations/responsibilities by the Contractor and/or his sub-Contractor/sub-supplier.

The Contractor shall submit un-priced copies of purchase orders / work orders with technical specifications included in all orders placed on sub-Contractors, if requested by the Employer.

In the event certain obligations extended by a sub-Contractor to the Contractor should extend beyond the guarantee period specified in the Contract, the Employer shall automatically be entitled to the benefit thereof.

In no event shall the Employer be deemed to have any contractual obligations whatsoever in respect of Contractor's/ sub-Contractors and/or title-holders of any sub-orders placed by him.